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US Equity Strategy

Where Macro Meets Micro – 4Q 2026 Outlook: Navigating Uncertainty

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

4Q 2026 Outlook: Base, Bull, and Bear Cases

In mid-June, we revised our year-end '26 base case target to 8100 from a prior 7700. This acknowledged the exceptional earnings growth that unfolded during the first half of the year, which was driven primarily by the AI infrastructure cohort. Our base case index earnings estimate is now \$365 for '26 and \$400 for '27, materially higher than the \$320 estimate we entered the year with. However, we have not increased our bull case target of 8300. The implication is that we expect downside risks to increase relative to upside reward as 4Q unfolds. In turn, our target multiple is lower than previous, an acknowledgement that the AI play is middle innings, if not later.

Year-End 2026		Trailing Forward P/E		
Trailing Forward EPS		Bear (19.2x 19.4x)	Base (22.2x 20.3x)	Bull (22.1x 20.0x)
	Bear (\$355 \$350)	6800		
	Base (\$365 \$400)		8100	
	Bull (\$375 \$415)			8300

Citi S&P 500 TTM EPS Forecast			
	Bear Case	Base Case	Bull Case
Dec '25	\$276	\$276	\$276
Dec '26	\$355	\$365	\$375
Dec '27	\$350	\$400	\$415

Citi S&P 500 TTM EPS Growth Forecast			
	Bear Case	Base Case	Bull Case
Dec '26	28.6%	32.2%	35.8%
Dec '27	-1.4%	9.6%	10.7%

Sector and Industry Group Recommendations – Q4 '26

Sector Recommendations

Overweight

Communication Services

Health Care

Utilities

Consumer Discretionary

Market Weight

Industrials

Materials

Real Estate

Information Technology

Underweight

Energy

Financials

Consumer Staples

Industry Group Recommendations

Overweight

Semiconductors & Semi Equipment

Utilities

ns Services

Consumer Services

Health Care Equipment & Services

Consumer Disc Distribution & Retail

Market Weight

Pharma, Biotech & Life Sciences

Media & Entertainment

Consumer Durables & Apparel

Banks

Materials

Commercial & Professional Services

Capital Goods

Transportation

Food Beverage & Tobacco

Software & Services

Real Estate

Underweight

Energy

Technology Hardware & Equipment

Household & Personal Products

Insurance

Financial Services

Automobiles & Components

Consumer Staples Distribution & Retail

- Upgrade from prior SIGN

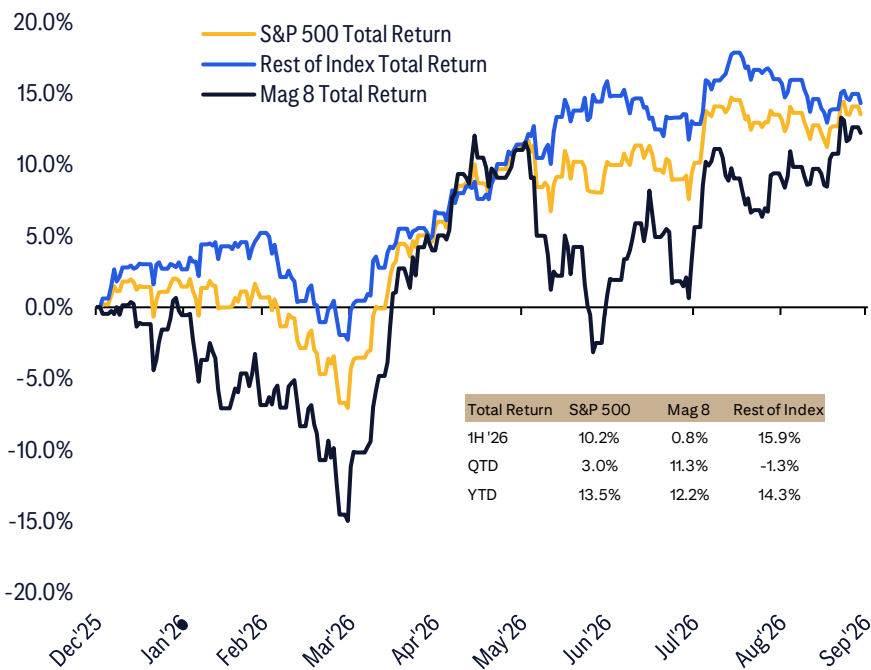
- Downgrade from prior SIGN

US Equity Strategy: SIGN (Sector & Industry Group Navigator): Navigating Uncertainty

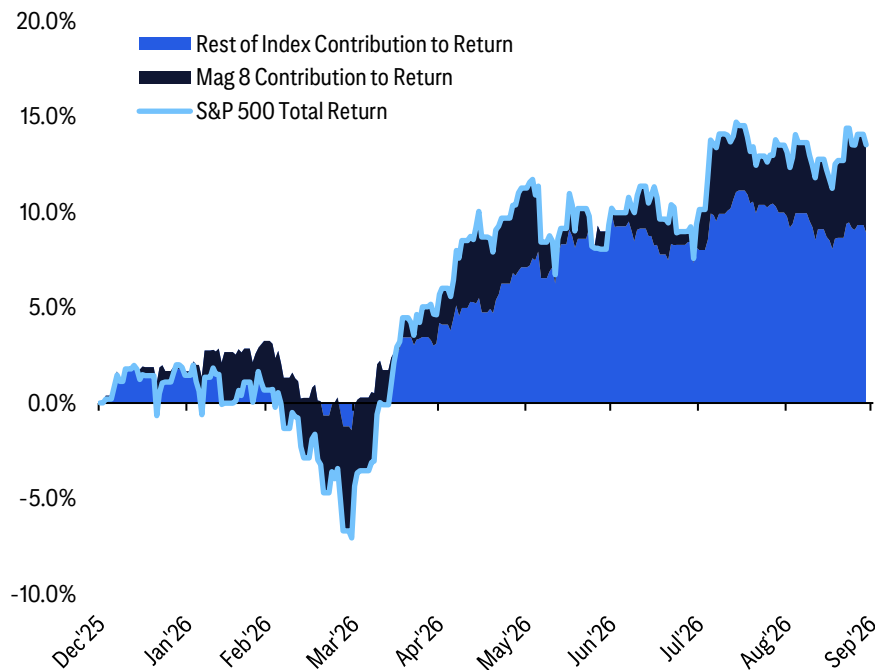
Broader Participation Thus Far in '26

- Market cap weighted, the Mag 8 returned ~+25% in '25 while the Rest of Index returned ~14%
- Broader participation is evident YTD with the “other 492” gaining +14.3% thus far in '26 while the Mag 8 are +12.2%

Mag 8 vs. Rest of Index Returns



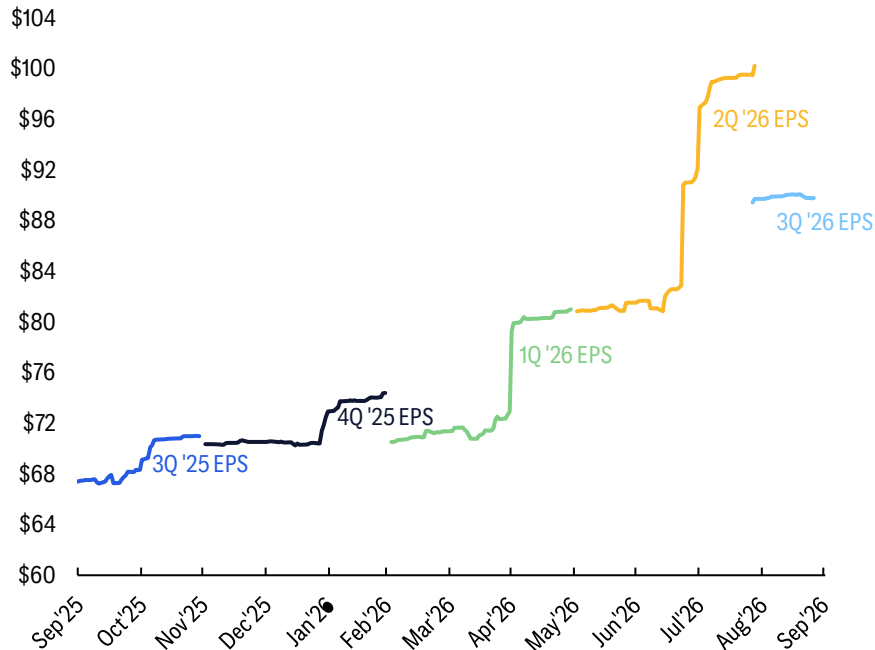
Contribution to S&P 500 Return, Mag 8 vs. Rest of Index



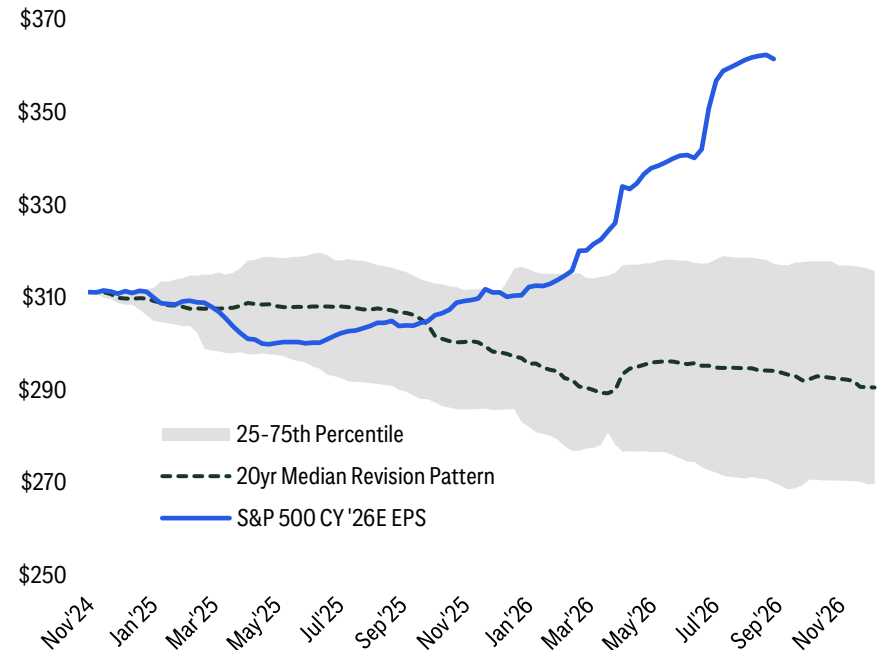
2Q Results Support Positive Fundamental Case for '26

- 2Q reporting season delivered an abnormally high positive surprise, building on the trends from the 1Q reporting period
- CY '26 estimates are tracking well ahead of seasonal patterns, reminiscent of an early cycle revision pattern
- Asterisk here is that mega cap asset writeups in 1Q & 2Q drove a large share of the positive surprise, with tariff refunds playing a role and higher oil prices flowing through as an earnings windfall for the Energy sector

S&P 500 Quarterly Bottom-Up Consensus EPS



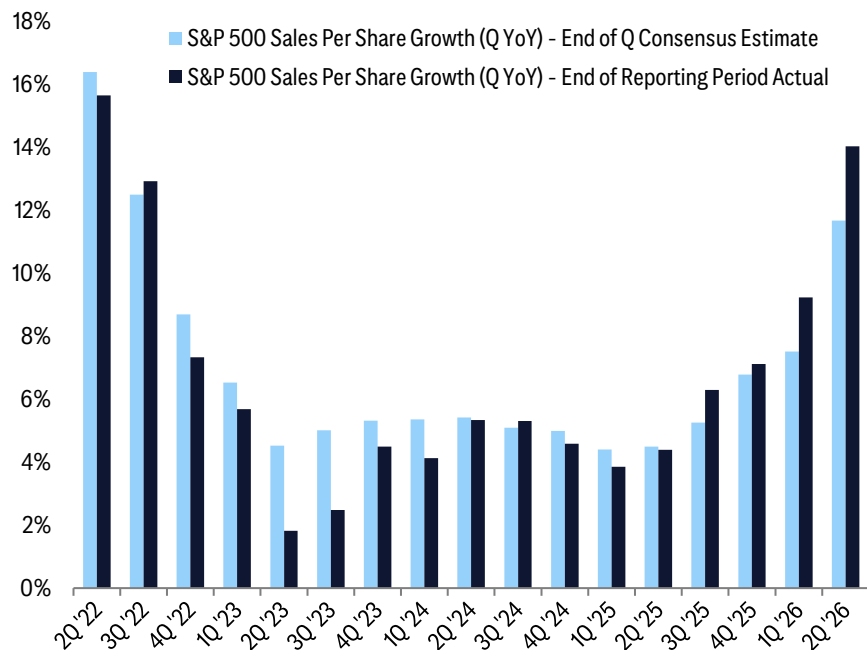
S&P 500 CY'26 Consensus EPS vs. 20Y Pattern



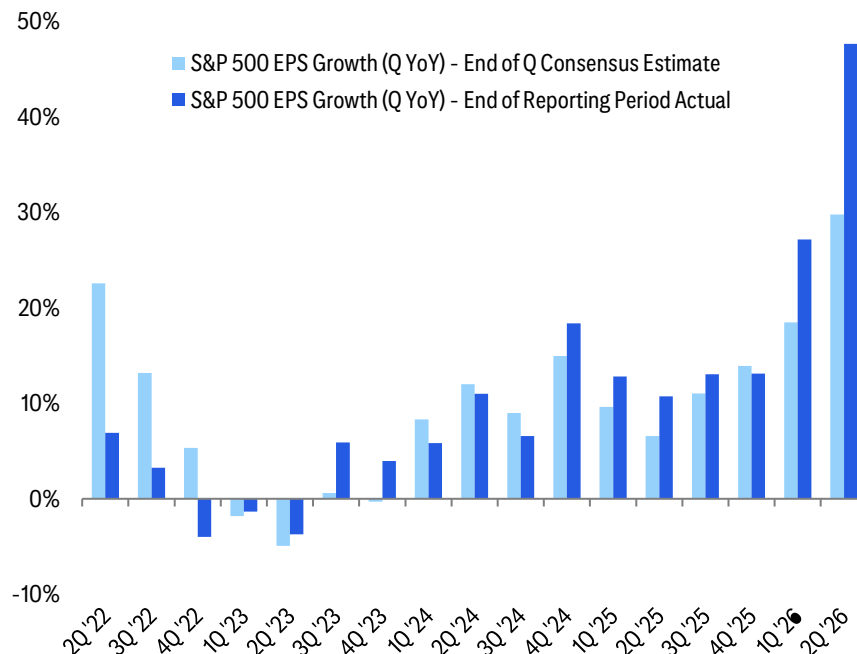
Sales and Earnings Progression

- Since mid-'25, a persistent sales beat has provided a tailwind to equities
- The earnings progression has followed, with acceleration over the past two quarters. We remind that an “asterisk” is warranted

S&P 500 Sales Growth Estimates and Actuals



S&P 500 Earnings Growth Estimates and Actuals



Map of a 2Q Scorecard and '26-'27 Revisions

	6/30/2026	Now			6/30/2026	Now					6/30/2026	Now					6/30/2026	Now			6/30/2026	Now
EPS in S&P 500 Index \$ Per Share Terms	2Q '26	2Q '26	Chg	% Chg	2Q '26 EPS Growth	2Q '26 EPS Growth	CY '26	CY '26	Chg	% Chg	CY '26 EPS Growth	CY '26 EPS Growth	CY '27	CY '27	Chg	% Chg	CY '27 EPS Growth	CY '27 EPS Growth				
Communication Services	\$8.2	\$16.3	\$8.1	99.3%	6.2%	111.7%	\$37.1	\$45.0	\$7.9	21.2%	23.4%	49.6%	\$39.4	\$39.5	\$0.1	0.2%	6.3%	-12.1%				
Media & Entertainment	\$6.5	\$14.5	\$8.0	122.8%	2.4%	128.1%	\$30.8	\$38.6	\$7.9	25.5%	24.1%	55.8%	\$32.5	\$32.7	\$0.2	0.7%	5.6%	-15.3%				
ns Services	\$1.6	\$1.7	\$0.1	7.4%	12.0%	20.3%	\$6.3	\$6.3	\$0.1	1.0%	11.3%	12.4%	\$6.9	\$6.8	-\$0.1	-0.9%	9.7%	7.7%				
Consumer Discretionary	\$5.9	\$10.6	\$4.7	80.5%	2.9%	85.9%	\$25.3	\$29.9	\$4.6	18.1%	13.4%	33.9%	\$28.5	\$28.8	\$0.3	0.9%	12.5%	-3.9%				
Automobiles & Components	\$0.7	\$0.7	\$0.0	4.5%	7.7%	12.5%	\$2.9	\$3.0	\$0.0	0.4%	21.7%	22.2%	\$3.3	\$3.3	\$0.0	-1.4%	12.8%	10.8%				
Consumer Durables & Apparel	\$0.4	\$0.5	\$0.1	29.4%	-16.4%	8.2%	\$1.8	\$1.8	\$0.0	2.2%	-6.3%	-4.2%	\$2.0	\$1.9	-\$0.1	-4.7%	14.0%	6.3%				
Consumer Services	\$1.3	\$1.3	\$0.1	5.5%	6.8%	12.6%	\$5.2	\$5.2	\$0.0	0.8%	11.1%	12.1%	\$6.0	\$6.0	-\$0.1	-1.1%	16.6%	14.3%				
Consumer Disc Distribution & Retail	\$3.6	\$8.1	\$4.5	127.3%	3.1%	134.4%	\$15.4	\$19.9	\$4.5	29.2%	15.6%	49.4%	\$17.1	\$17.6	\$0.5	2.9%	10.8%	-11.8%				
Consumer Staples	\$3.8	\$4.1	\$0.3	8.4%	3.6%	12.3%	\$15.2	\$15.4	\$0.1	0.9%	5.3%	6.3%	\$16.4	\$16.4	\$0.0	-0.1%	7.5%	6.4%				
Consumer Staples Dist & Retail	\$1.0	\$1.2	\$0.2	18.1%	11.2%	31.3%	\$4.0	\$4.2	\$0.2	3.8%	9.3%	13.5%	\$4.5	\$4.5	\$0.0	0.9%	10.0%	7.0%				
Food Beverage & Tobacco	\$2.1	\$2.2	\$0.1	6.1%	3.7%	10.0%	\$8.1	\$8.2	\$0.0	0.3%	5.9%	6.2%	\$8.7	\$8.7	\$0.0	-0.3%	7.1%	6.5%				
Household & Personal Products	\$0.7	\$0.7	\$0.0	1.4%	-2.2%	-0.9%	\$3.0	\$3.0	\$0.0	-1.0%	2.0%	0.9%	\$3.2	\$3.2	\$0.0	-0.6%	5.5%	5.9%				
Energy	\$5.9	\$6.6	\$0.6	10.6%	118.7%	141.9%	\$18.9	\$21.3	\$2.3	12.4%	68.4%	89.2%	\$17.2	\$19.7	\$2.5	14.5%	-9.1%	-7.4%				
Financials	\$13.4	\$15.6	\$2.2	16.4%	5.6%	23.0%	\$55.6	\$58.3	\$2.7	4.8%	9.3%	14.6%	\$61.7	\$62.9	\$1.2	1.9%	11.0%	7.9%				
Banks	\$4.7	\$5.7	\$1.0	21.9%	13.1%	37.8%	\$19.0	\$20.2	\$1.2	6.3%	16.7%	24.0%	\$21.3	\$21.8	\$0.5	2.4%	11.9%	7.9%				
Financial Services	\$6.5	\$7.3	\$0.8	13.0%	4.1%	17.6%	\$27.0	\$28.1	\$1.1	4.1%	8.0%	12.4%	\$30.3	\$31.0	\$0.7	2.4%	12.5%	10.6%				
Insurance	\$2.2	\$2.6	\$0.3	14.3%	-0.9%	13.3%	\$9.6	\$10.0	\$0.4	4.2%	2.2%	6.5%	\$10.1	\$10.1	\$0.0	0.4%	5.2%	1.3%				
Health Care	\$7.5	\$7.7	\$0.2	2.8%	-9.6%	-7.0%	\$33.6	\$33.4	-\$0.2	-0.7%	2.5%	1.9%	\$40.0	\$40.3	\$0.3	0.6%	19.1%	20.7%				
Health Care Equipment & Services	\$3.3	\$3.8	\$0.5	14.8%	7.5%	23.4%	\$13.1	\$13.5	\$0.3	2.5%	7.1%	9.8%	\$14.7	\$14.9	\$0.3	1.9%	11.6%	10.9%				
Pharma Biotech & Life Sciences	\$4.2	\$3.9	-\$0.3	-6.8%	-19.7%	-25.2%	\$20.4	\$19.9	-\$0.6	-2.8%	-0.2%	-3.0%	\$25.4	\$25.4	\$0.0	0.0%	24.1%	27.6%				
Industrials	\$5.8	\$6.2	\$0.4	7.3%	8.1%	16.1%	\$24.3	\$24.7	\$0.5	2.0%	9.5%	11.6%	\$28.0	\$28.5	\$0.4	1.6%	15.5%	15.1%				
Capital Goods	\$4.0	\$4.3	\$0.3	8.1%	13.4%	22.6%	\$16.9	\$17.2	\$0.3	2.0%	13.6%	16.0%	\$19.3	\$19.7	\$0.4	2.1%	14.3%	14.4%				
Commercial & Professional Services	\$0.6	\$0.6	\$0.0	2.3%	6.8%	9.3%	\$2.4	\$2.4	\$0.0	-0.1%	8.4%	8.2%	\$2.7	\$2.7	\$0.0	-0.8%	10.8%	10.1%				
Transportation	\$1.2	\$1.3	\$0.1	8.0%	-4.0%	3.7%	\$4.9	\$5.0	\$0.2	3.6%	-0.4%	3.1%	\$5.9	\$6.1	\$0.1	2.2%	21.9%	20.3%				
Information Technology	\$25.5	\$27.4	\$2.0	7.7%	60.9%	73.2%	\$109.1	\$112.8	\$3.7	3.4%	53.8%	59.1%	\$141.2	\$156.9	\$15.7	11.1%	29.4%	39.0%				
Semis & Semiconductor Equipment	\$13.1	\$13.8	\$0.7	5.1%	129.0%	140.6%	\$55.7	\$57.4	\$1.7	3.0%	112.1%	118.6%	\$78.8	\$92.2	\$13.4	17.0%	41.3%	60.6%				
Software & Services	\$6.4	\$7.1	\$0.7	11.2%	12.9%	25.6%	\$27.1	\$27.9	\$0.8	3.0%	13.6%	17.0%	\$31.7	\$31.6	-\$0.1	-0.3%	17.0%	13.2%				
Technology Hardware & Equipment	\$5.9	\$6.5	\$0.6	9.6%	36.9%	50.1%	\$26.2	\$27.4	\$1.2	4.7%	28.1%	34.1%	\$30.8	\$33.0	\$2.3	7.4%	17.5%	20.5%				
Materials	\$2.0	\$2.1	\$0.1	5.7%	35.2%	42.8%	\$7.3	\$7.2	-\$0.1	-1.6%	37.4%	35.2%	\$8.1	\$8.1	-\$0.1	-0.9%	11.2%	11.9%				
Real Estate	\$1.8	\$1.8	\$0.0	1.1%	4.4%	5.5%	\$7.4	\$7.3	\$0.0	-0.3%	5.4%	5.1%	\$7.9	\$7.8	-\$0.1	-0.8%	7.2%	6.6%				
Utilities	\$1.8	\$1.8	\$0.0	-0.8%	12.0%	11.1%	\$8.8	\$8.7	-\$0.1	-1.0%	11.0%	9.9%	\$9.6	\$9.4	-\$0.2	-1.7%	9.3%	8.4%				
S&P 500	\$81.5	\$100.2	\$18.7	23.0%	21.6%	49.5%	\$342.8	\$364.2	\$21.4	6.2%	24.2%	31.9%	\$398.3	\$418.2	\$19.9	5.0%	16.2%	14.8%				
S&P 500 Growth IG Cluster	\$36.2	\$50.7	\$14.5	40.1%	38.3%	93.7%	\$158.2	\$174.3	\$16.1	10.2%	42.3%	56.8%	\$194.2	\$210.5	\$16.3	8.4%	22.7%	20.7%				
S&P 500 Cyclical IG Cluster	\$28.1	\$31.6	\$3.5	12.5%	21.3%	36.5%	\$110.5	\$116.1	\$5.5	5.0%	18.2%	24.1%	\$120.4	\$124.4	\$4.1	3.4%	8.9%	7.2%				
S&P 500 Defensives IG Cluster	\$17.1	\$17.8	\$0.7	3.9%	-0.9%	2.9%	\$73.7	\$73.5	-\$0.1	-0.2%	5.4%	5.2%	\$83.5	\$83.4	\$0.0	0.0%	13.3%	13.5%				
Mag 8	\$21.7	\$34.6	\$12.8	59.1%	34.4%	113.8%	\$98.6	\$112.1	\$13.5	13.7%	38.2%	57.1%	\$121.1	\$129.4	\$8.2	6.8%	22.8%	15.4%				
Rest of Index	\$59.8	\$65.7	\$5.9	9.8%	17.5%	29.1%	\$244.2	\$252.1	\$7.8	3.2%	19.3%	23.1%	\$277.2	\$288.8	\$11.7	4.2%	13.5%	14.6%				
S&P 500	\$81.5	\$100.2	\$18.7	23.0%	21.6%	49.5%	\$342.8	\$364.2	\$21.4	6.2%	24.2%	31.9%	\$398.3	\$418.2	\$19.9	5.0%	16.2%	14.8%				

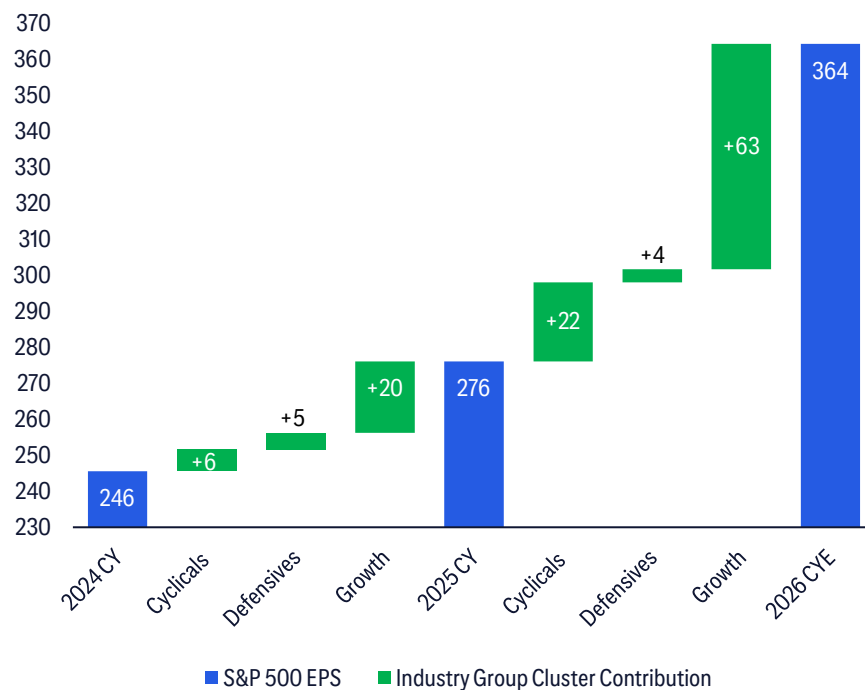
Cluster Fundamental Dispersion

- IG Cluster fundamental dispersion highlights the two-year period of “earnings nothingness” in ‘22/’23
- Cyclical and Defensives pulled out of an earnings recession in ‘24, building on this through ‘25
- More contribution from these groups in ‘26 as they return to HSD-MDD growth should bolster index level earnings growth

S&P 500 Consensus EPS Growth by IG Cluster

Q EPS Growth Y/Y	Cyclicals	Defensives	Growth	S&P 500
2022 Q1	18%	15%	0%	10%
2022 Q2	30%	4%	-10%	7%
2022 Q3	18%	0%	-7%	3%
2022 Q4	12%	-3%	-17%	-4%
2023 Q1	8%	-12%	-5%	-1%
2023 Q2	-13%	-13%	14%	-4%
2023 Q3	-1%	-7%	24%	6%
2023 Q4	-14%	-5%	30%	4%
2024 Q1	-2%	-8%	30%	6%
2024 Q2	6%	11%	17%	11%
2024 Q3	-6%	8%	21%	7%
2024 Q4	19%	9%	25%	18%
2025 Q1	1%	19%	21%	13%
2025 Q2	1%	4%	28%	11%
2025 Q3	16%	5%	17%	13%
2025 Q4	10%	1%	23%	13%
2026 Q1	18%	3%	53%	27%
2026 Q2	36%	3%	93%	50%
2026 Q3E	20%	6%	47%	26%
2026 Q4E	20%	10%	38%	25%
CY EPS Growth Y/Y	Cyclicals	Defensives	Growth	S&P 500
2022 CY	19.4%	3.9%	-8.9%	4.1%
2023 CY	-5%	-10%	15.6%	1.2%
2024 CY	3.4%	4.9%	23.4%	10.4%
2025 CY	6.9%	7.1%	21.8%	12.4%
2026 CYE	23.3%	5.6%	56.2%	31.9%
2027 CYE	7.0%	13.3%	20.8%	14.8%

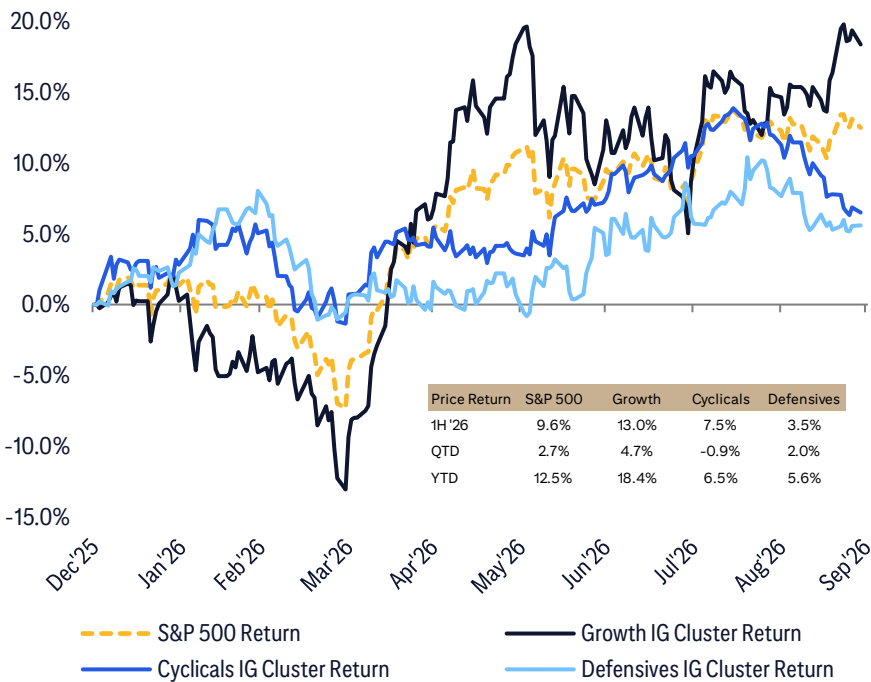
IG Cluster Contribution to Index EPS Growth (Consensus)



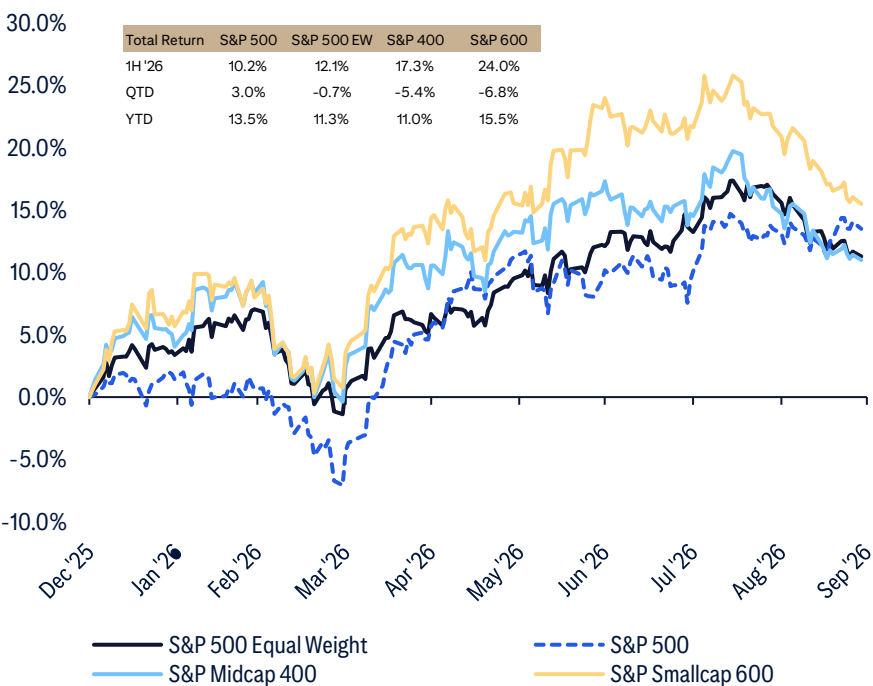
Broadening Via A Cluster & Size Lens

- After a 23% return for the Growth cluster in '25, the group is +18.4% YTD, outperforming the index
- Cyclical & Defensives have underperformed Mega Cap Growth this year, returning +6.5% and +5.6%, respectively
- Small and Midcap indices have been under pressure of late but are still up +15.5% and +11.0% respectively thus far in '26

S&P 500 Industry Group Cluster Performance



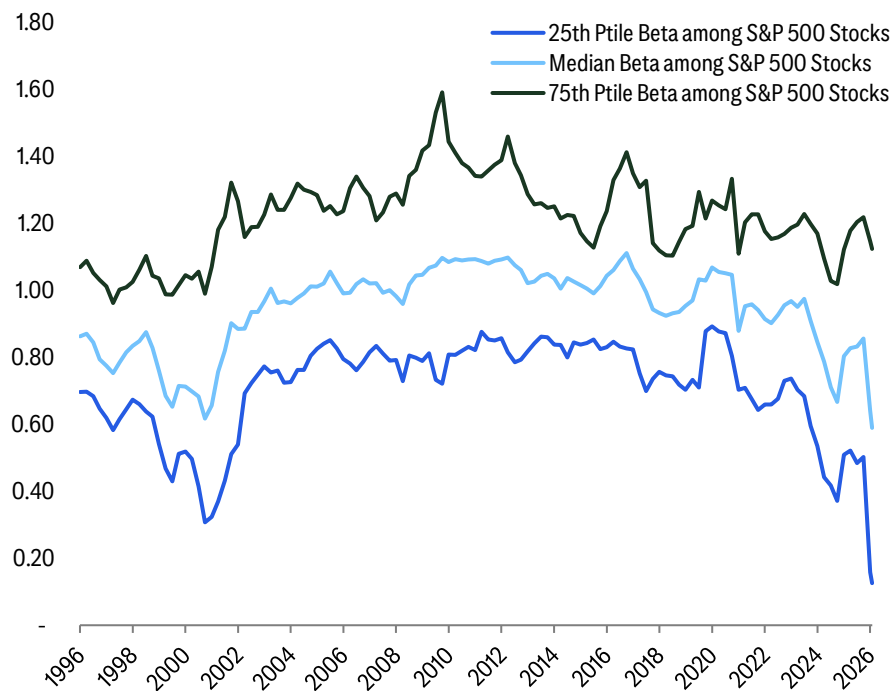
S&P 500, Equal Weight, Mid & Small Cap Performance



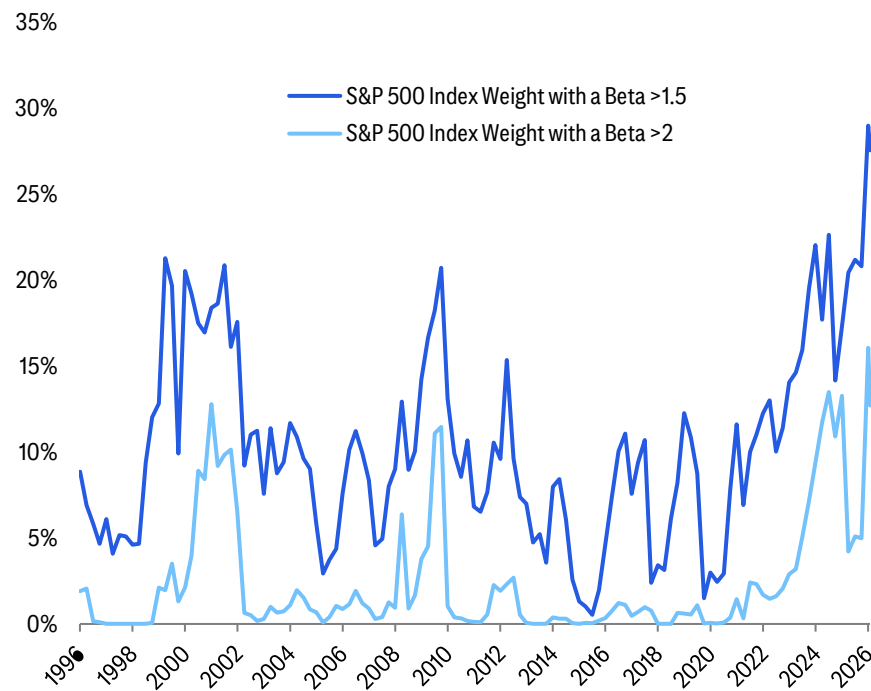
AI's Subtle S&P 500 Impacts

- Return dispersion has notably picked up this year, yet index level vol has remain subdued
- Interestingly, the average stock beta to the index is declining, as the weight of high beta stocks in the index climbs
- All told, the index is subtly becoming riskier under the surface

Average Stock Beta is Falling Relative to the Index



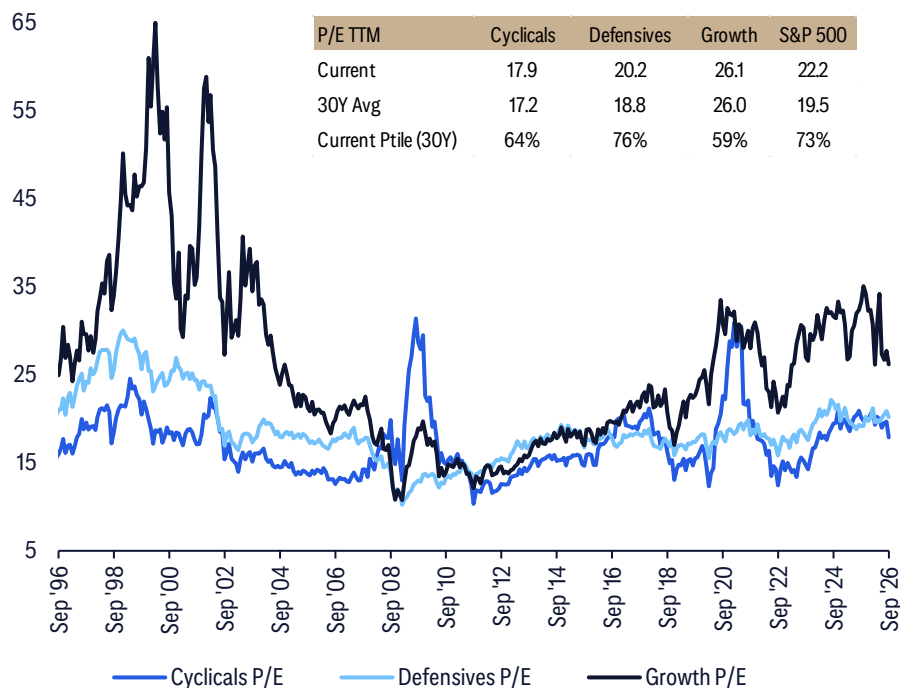
S&P 500 Index Weight in High Beta Stocks is Growing



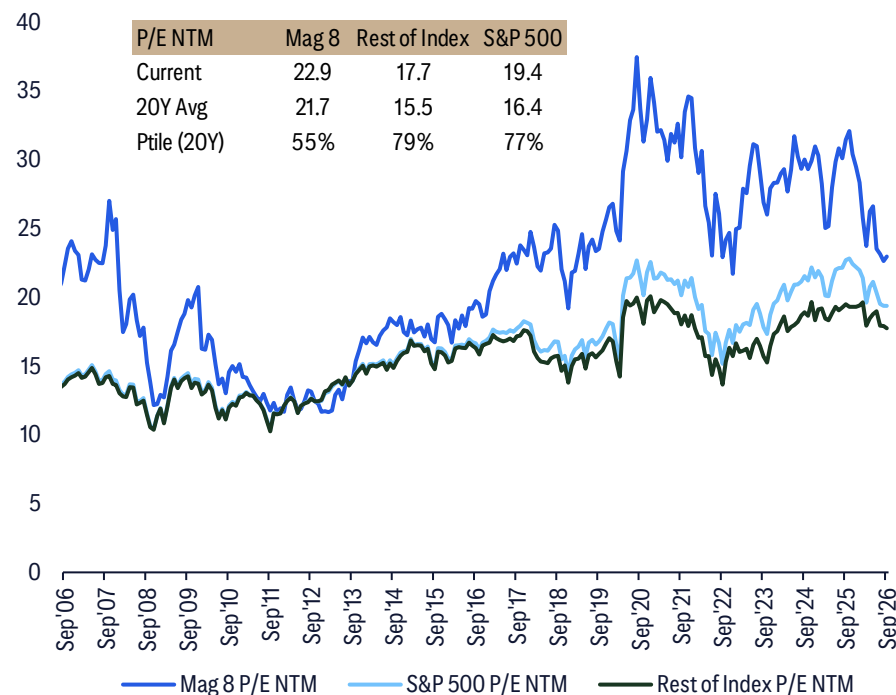
IG Cluster Valuations

- Multiples on trailing earnings are stretched relative to history for Cyclical & Defensive, less so for the Growth IG cluster
- Mag 8 forward multiples are near the low end of the last 10yr range, less expensive than the broader index considering the growth trajectory

S&P 500 Industry Group Cluster TTM P/E



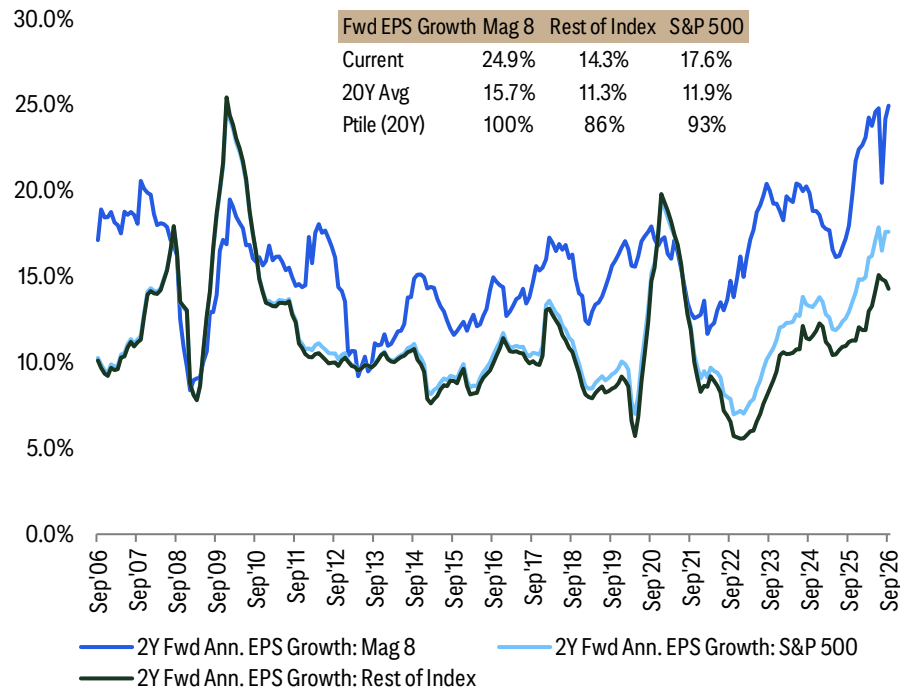
Mag 8 vs. Rest of Index P/E NTM



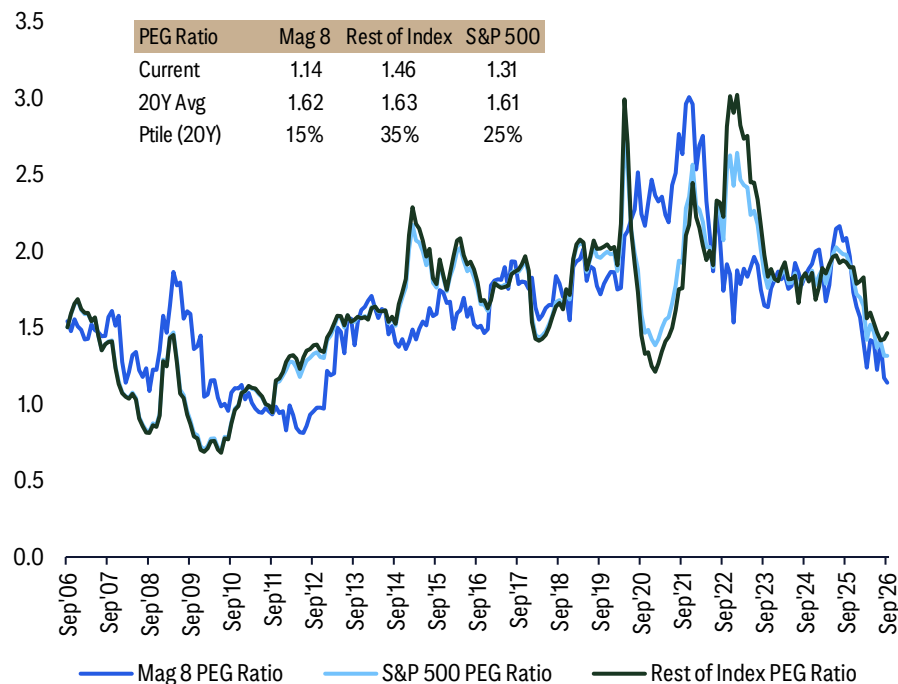
Mag 8 Valuations & Fundamental Circumstance

- The Mag 8 forward earnings growth expectations hover near 20yr highs
- Out year growth trajectory is holding steady near the top decile for the Other 492
- PEG ratios have fallen materially for the Mag 8 as well as the broader index as growth persistence is questioned

Mag 8 vs. Rest of Index Consensus EPS Growth (2Y Fwd CAGR)



Mag 8 vs. Rest of Index PEG Ratio



Size & Style – Case For Small Cap

- We have argued for a barbell positioning consisting of LC Growth (via NDX) and SC Value.
- Earnings growth rebound and easier valuation set the stage.
- But there is also an “anti AI” element to this.

Earnings, Sales, FCF Growth by Size (TTM Y/Y)

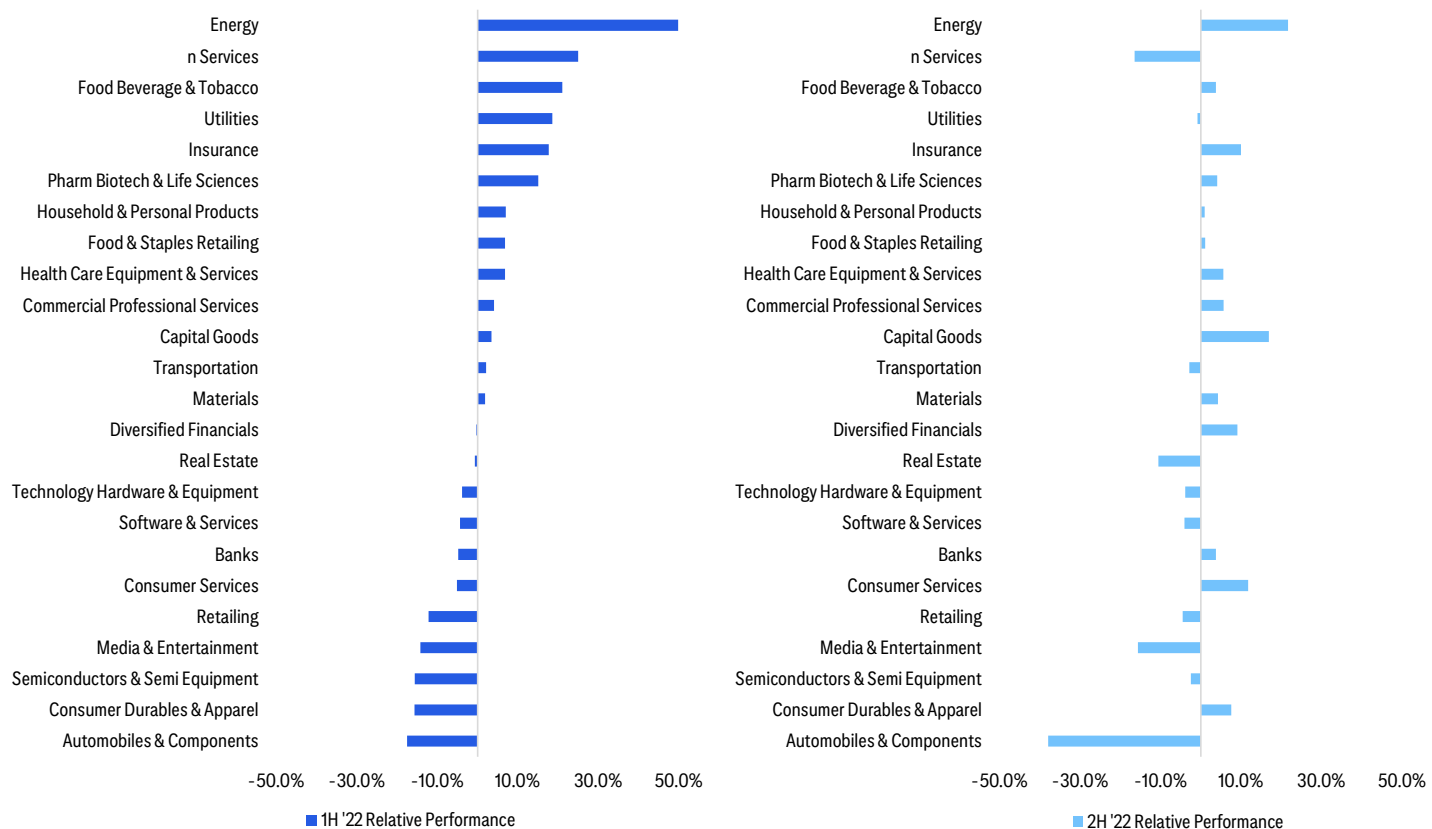
Metric	Year	S&P 500	S&P 400	S&P 600
TTM SPS Y/Y	CY '23	4%	0%	-6%
	CY '24	5%	0%	-3%
	CY '25	5%	6%	-1%
	CY '26E	11%	9%	16%
	CY '27E	8%	8%	5%
TTM FCFPS Y/Y	CY '23	4%	-7%	-1%
	CY '24	4%	4%	-3%
	CY '25	4%	6%	19%
	CY '26E	19%	23%	33%
	CY '27E	21%	25%	20%
TTM EPS Y/Y	CY '23	1%	-7%	-14%
	CY '24	10%	-2%	-3%
	CY '25	12%	0%	7%
	CY '26E	32%	26%	30%
	CY '27E	15%	14%	16%

Valuation Metric	S&P 500	S&P 400	S&P 600
P/E (T12M) - Current	23.6	17.2	16.1
P/E (T12M) - 20Y Median	17.5	18.2	19.0
P/E (T12M) - Curr 20Y Ptile	85%	34%	22%
P/E (Pos T12M) - Current	25.1	20.0	18.4
P/E (Pos T12M) - 20Y Median	19.1	19.5	19.2
P/E (Pos T12M) - Curr 20Y Ptile	83%	56%	39%
P/E (1Y Fwd) - Current	20.2	15.8	14.9
P/E (1Y Fwd) - 20Y Median	17.1	17.4	17.9
P/E (1Y Fwd) - Curr 20Y Ptile	77%	21%	11%
P/E (Pos 1Y Fwd) - Current	22.4	18.6	17.3
P/E (Pos 1Y Fwd) - 20Y Median	18.5	18.8	18.5
P/E (Pos 1Y Fwd) - Curr 20Y Ptile	77%	48%	32%
P/CF (T12M) - Current	20.3	12.4	11.2
P/CF (T12M) - 20Y Median	12.8	11.3	11.7
P/CF (T12M) - Curr 20Y Ptile	91%	80%	40%
P/S (T12M) - Current	3.7	1.6	1.2
P/S (T12M) - 20Y Median	1.9	1.3	1.0
P/S (T12M) - Curr 20Y Ptile	99%	91%	85%
Price to Book - Current	5.7	2.8	2.0
Price to Book - 20Y Median	3.0	2.4	2.0
Price to Book - Curr 20Y Ptile	99%	94%	58%
EV/Sales - Current	3.9	1.9	1.7
EV/Sales - 20Y Median	2.3	1.6	1.4
EV/Sales - Curr 20Y Ptile	99%	91%	93%
EV/EBITDA - Current	17.0	13.2	13.7
EV/EBITDA - 20Y Median	11.8	11.6	11.9
EV/EBITDA - Curr 20Y Ptile	97%	86%	77%

Oil and the '22 Case Study – Supply Shock Returns

- The '22 Russia-Ukraine event serves as a decent proxy for the current Iran conflict as a function of oil supply concerns.
- 2H performance dispersion is notable and needs to be factored into the current playbook.

Industry Group Relative Performance vs S&P 500, 1H '22 and 2H '22



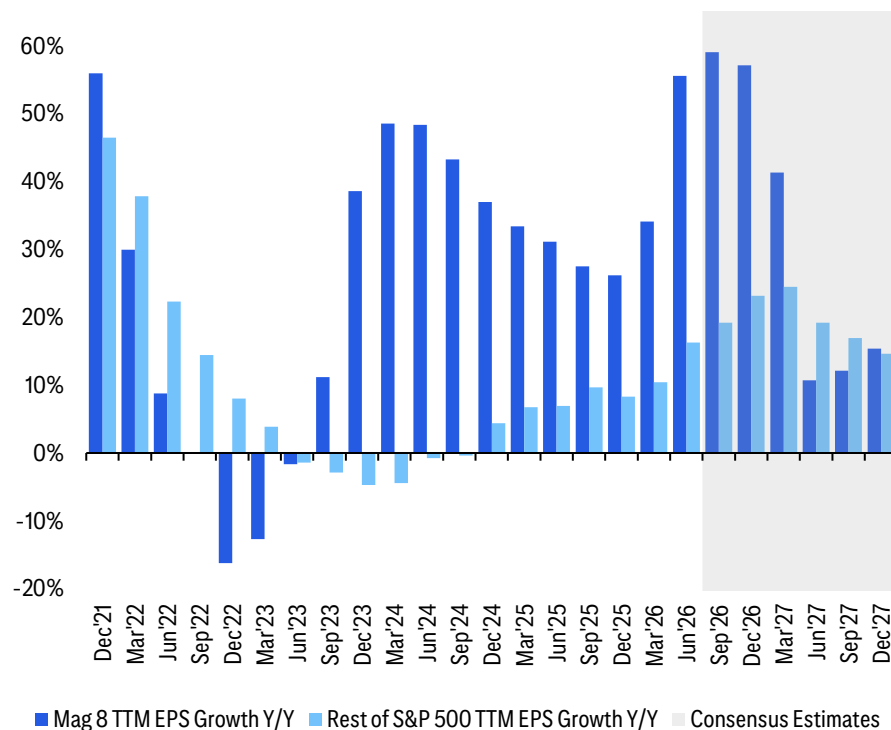
Earnings Growth Broadening & Convergence

- Mag 8 earnings growth pushing to new highs north of 57% Y/Y through '26E
- The Other 492 emerged from an earnings recession in '24, posted +8% growth in '25, rising to +23% in '26
- The setup is for marginal earnings growth broadening with 8/11 sectors now modeled for DD EPS growth this year

Annual Consensus EPS Growth Progression

Annual EPS Growth	CY '23	CY '24	CY '25	CY '26E	CY '27E
Communication Services	21%	26%	19%	50%	-12%
Consumer Discretionary	38%	15%	3%	34%	-4%
Consumer Staples	6%	4%	-1%	6%	6%
Energy	-27%	-21%	-11%	89%	-7%
Financials	-4%	20%	11%	15%	8%
Health Care	-19%	4%	13%	2%	21%
Industrials	12%	-2%	14%	12%	15%
Information Technology	8%	21%	26%	59%	39%
Materials	-21%	-9%	3%	35%	12%
Real Estate	-1%	2%	1%	5%	7%
Utilities	1%	11%	8%	10%	8%
S&P 500	1%	10%	12%	32%	15%
S&P 400	-7%	-2%	0%	26%	14%
S&P 600	-14%	-3%	7%	30%	16%
S&P 500 Cyclical	-5%	3%	7%	23%	7%
S&P 500 Defensive	-10%	5%	7%	6%	13%
S&P 500 Growth	16%	23%	22%	56%	21%
Mag 8	39%	37%	26%	57%	15%
Other 492	-5%	4%	8%	23%	15%

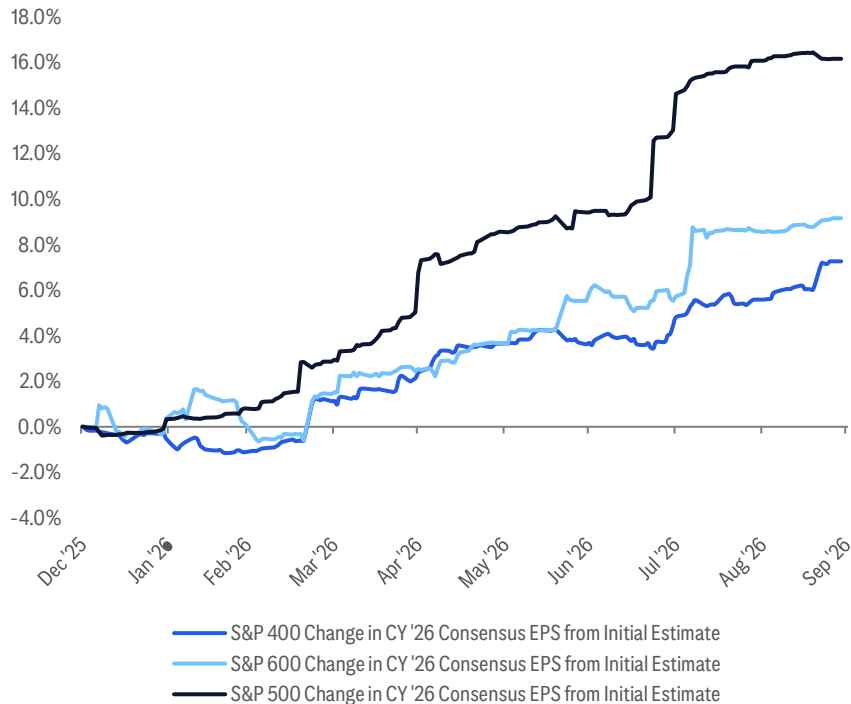
Mag 8 & Rest of Index TTM EPS Growth



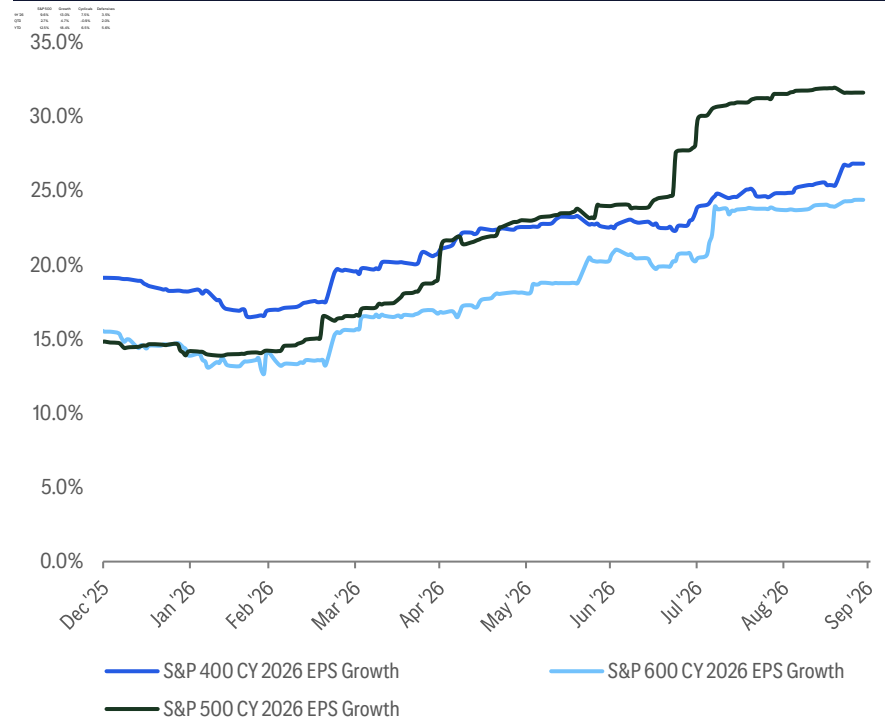
Revisions by Size

- Revision pattern for Large Cap is abnormally strong, a revision pattern more typical of early cycle but now AI led
- Interestingly, SMID estimates have moved notably higher in the last six months, an encouraging breadth signal
- Mid & Small Cap earnings growth expectations for CY '26 are lagging LC a bit, but all are above 20% Y/Y

Revisions to CY '26 EPS by Size (% Chg from Start)



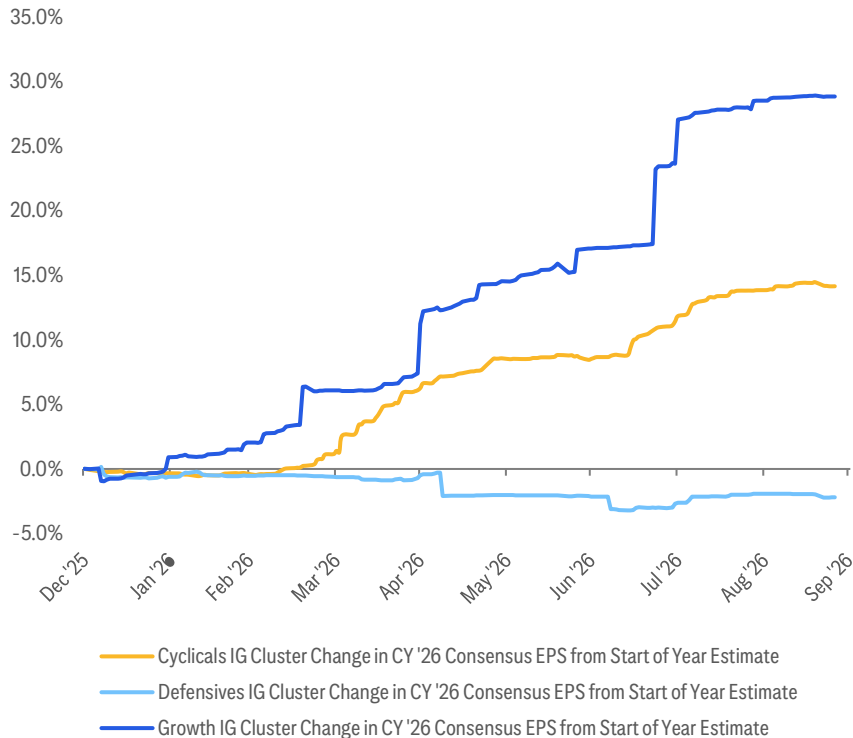
Bottom-up Consensus CY '26 EPS Growth by Size



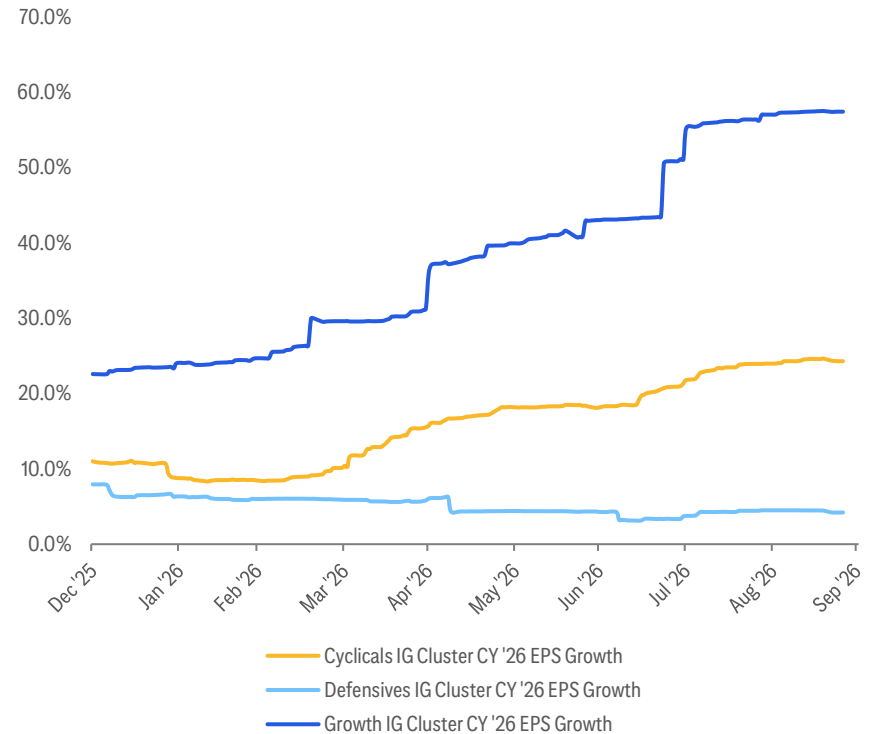
Revisions by S&P 500 Industry Group Cluster

- CY '26 estimates for the Growth and Cyclical Industry Group clusters have moved higher alongside 2Q reports
- Defensives IG cluster revisions are less encouraging yet stable, with CY '26 EPS growth expectations hovering near MSD
- Asset writeups are driving a portion of the Growth IG cluster revisions, with tariff refunds also a contributing factor

S&P 500 IG Cluster Revisions to CY '26 EPS (% Chg from Start)



S&P 500 IG Cluster Bottom-up Consensus CY '26 EPS Growth



Earnings Attribution: Sector Build Up Is Critical

- Market-cap weights need to be compared to EPS weights to fully appreciate valuation implications of index price action
- Tech stands out for underearning its weight whereas Financials and Energy contribute significantly to the index
- Five sectors delivered LSD or worse EPS growth in '25, broader contribution in '26 helps accelerate index level growth

S&P 500 Earnings Growth Attribution by Sector, IG Cluster, Mag 8 vs. Rest of Index ('25 Actuals & '26 Consensus Estimates)

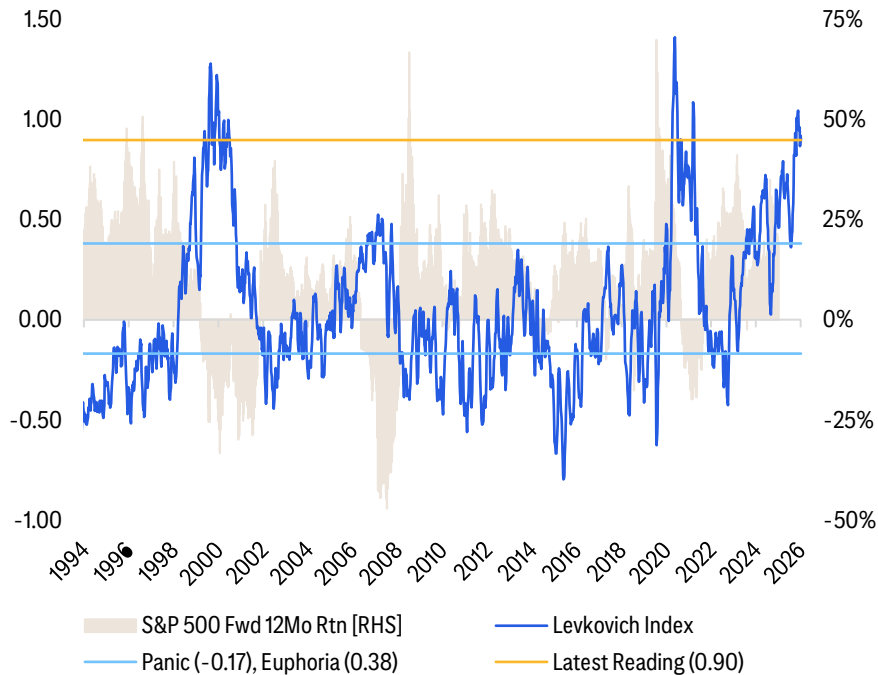
S&P 500 GICS Sector	Market Cap Weight (Current)	Earnings Weight End of '24 (1)	CY '25 EPS Growth (2)	Contribution to S&P 500 CY '25 EPS Growth (1 x 2)	Earnings Weight End of '25 (3)	CY '26 EPS Growth (4)	Contribution to S&P 500 CY '26 EPS Growth (3 x 4)
Communication Services	9.9%	10.4%	18.5%	1.9%	10.9%	49.6%	5.4%
Consumer Discretionary	8.6%	8.9%	3.0%	0.3%	8.1%	33.9%	2.8%
Consumer Staples	4.4%	6.0%	-0.8%	0.0%	5.3%	6.3%	0.3%
Energy	3.4%	5.2%	-11.0%	-0.6%	4.1%	89.2%	3.6%
Financials	11.6%	18.8%	11.1%	2.1%	18.5%	14.6%	2.7%
Health Care	9.4%	11.9%	12.9%	1.5%	11.9%	1.9%	0.2%
Industrials	8.1%	8.0%	14.0%	1.1%	8.1%	11.6%	0.9%
Information Technology	39.4%	23.1%	25.8%	6.0%	25.8%	59.1%	15.2%
Materials	1.7%	2.1%	2.9%	0.1%	1.9%	35.2%	0.7%
Real Estate	1.7%	2.8%	1.4%	0.0%	2.5%	5.1%	0.1%
Utilities	1.9%	3.0%	8.1%	0.2%	2.9%	9.9%	0.3%
S&P 500			12.4%	12.4%		31.9%	31.9%
Cyclicals	25.9%	36.1%	6.9%	2.5%	34.3%	23.3%	8.0%
Defensives	18.8%	26.5%	7.1%	1.9%	25.2%	5.6%	1.4%
Growth	55.3%	37.4%	21.8%	8.2%	40.5%	56.2%	22.8%
S&P 500			12.4%	12.4%		31.9%	31.9%
Mag 8	37.2%	23.0%	26.2%	6.0%	25.9%	57.1%	14.8%
Rest of Index	62.8%	77.0%	8.3%	6.4%	74.1%	23.1%	17.2%

Positioning, Other Fundamental Influences, & Valuation Perspectives

Euphoric Sentiment

- Our key sentiment/positioning indicator, the Levkovich Index, remains euphoric
- Historically, forward returns are poor from this starting point

Levkovich Index, Formerly Panic/Euphoria



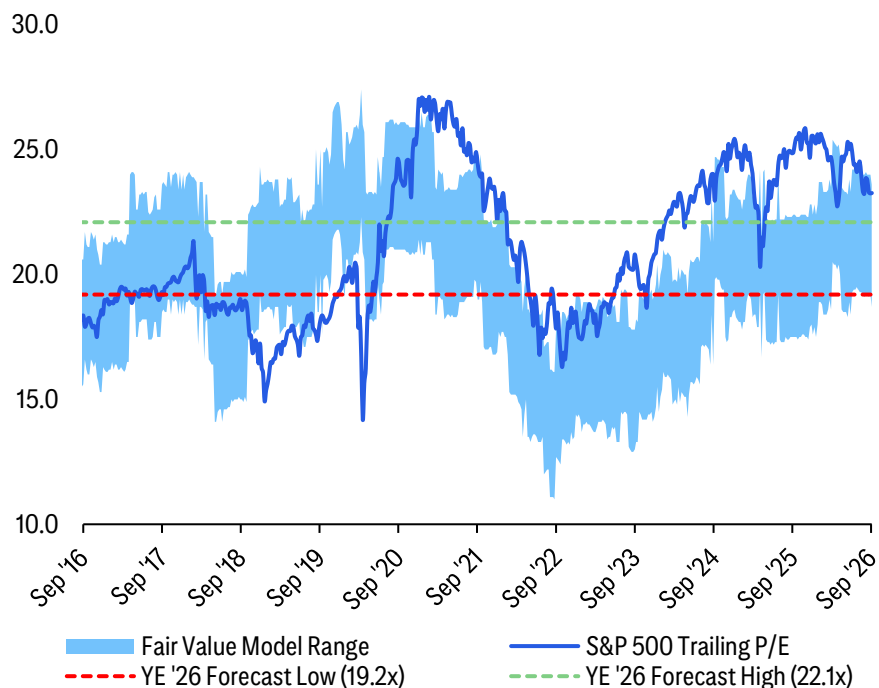
Index Statistics

	Last (± 0.10)	Panic	Neutral	Euphoria	S&P 500
Level	0.90	≤ -0.17	-0.17 to 0.38	≥ 0.38	
Forward 1-Year Returns (Based on Level Ranges) *					
Median	-12.5%	17.7%	10.7%	-8.2%	11.6%
90th Percentile	1.5%	32.6%	25.5%	16.8%	27.5%
10th Percentile	-23.3%	2.9%	-9.7%	-21.4%	-12.3%
Up Probability	14%	96%	81%	37%	79%

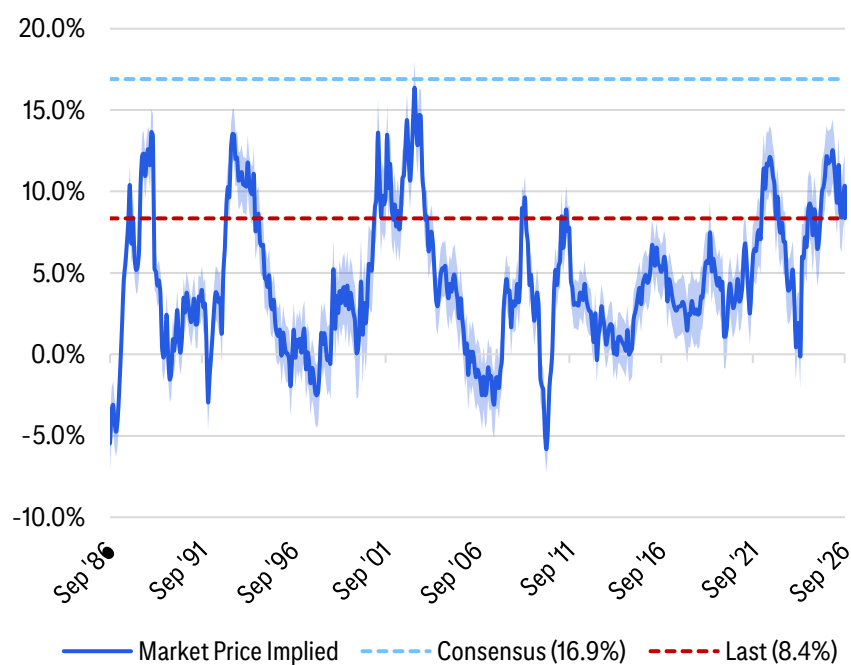
Valuations & Implicit Growth Expectations

- In our view, traditional valuation measures fail to fully account for the forces currently at work in the US Equity markets
- Hefty earnings growth, an accommodative Fed, and Goldilocks macro backdrop are necessary to hold top end of range
- Market-implied growth has settled below consensus growth expectations

Citi S&P 500 Fair Value Model vs. Index Trailing P/E



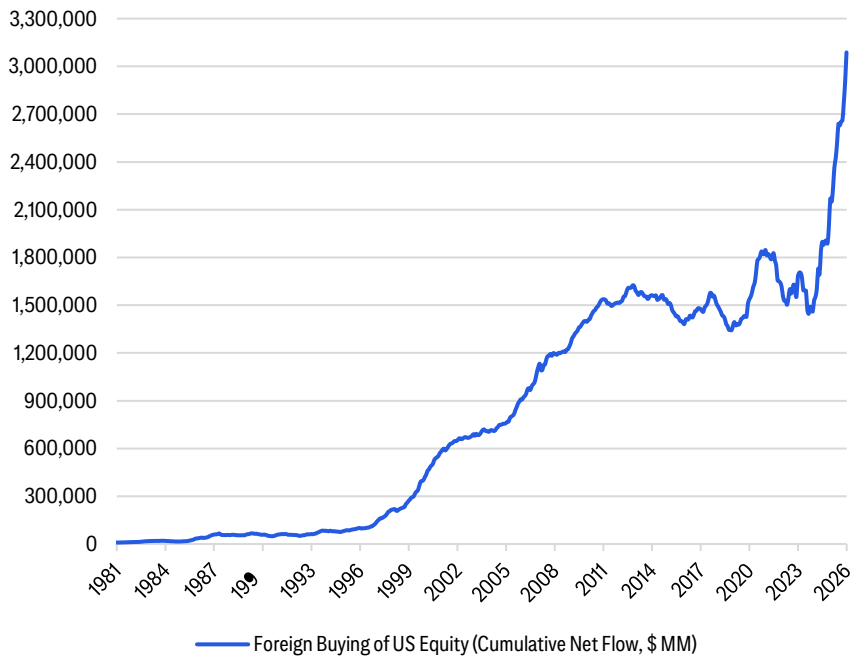
S&P 500 Market Implied Medium-Term EPS Growth



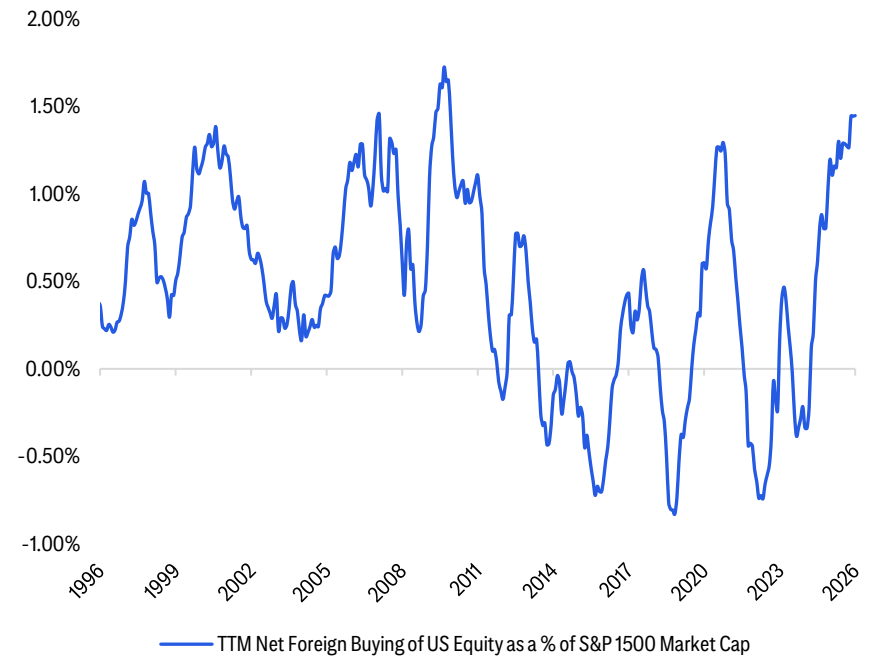
Positioning vs Sentiment = Reluctant Bulls

- Despite ongoing valuation and bubble concerns, allocations to US Equities remain persistent
- Foreign flows have remained quite strong as of data through June '26
- Trailing twelve-month foreign flows to US Equities as a pct of market cap near top end of 30yr range

Foreign Flow to US Equities, Since 1979



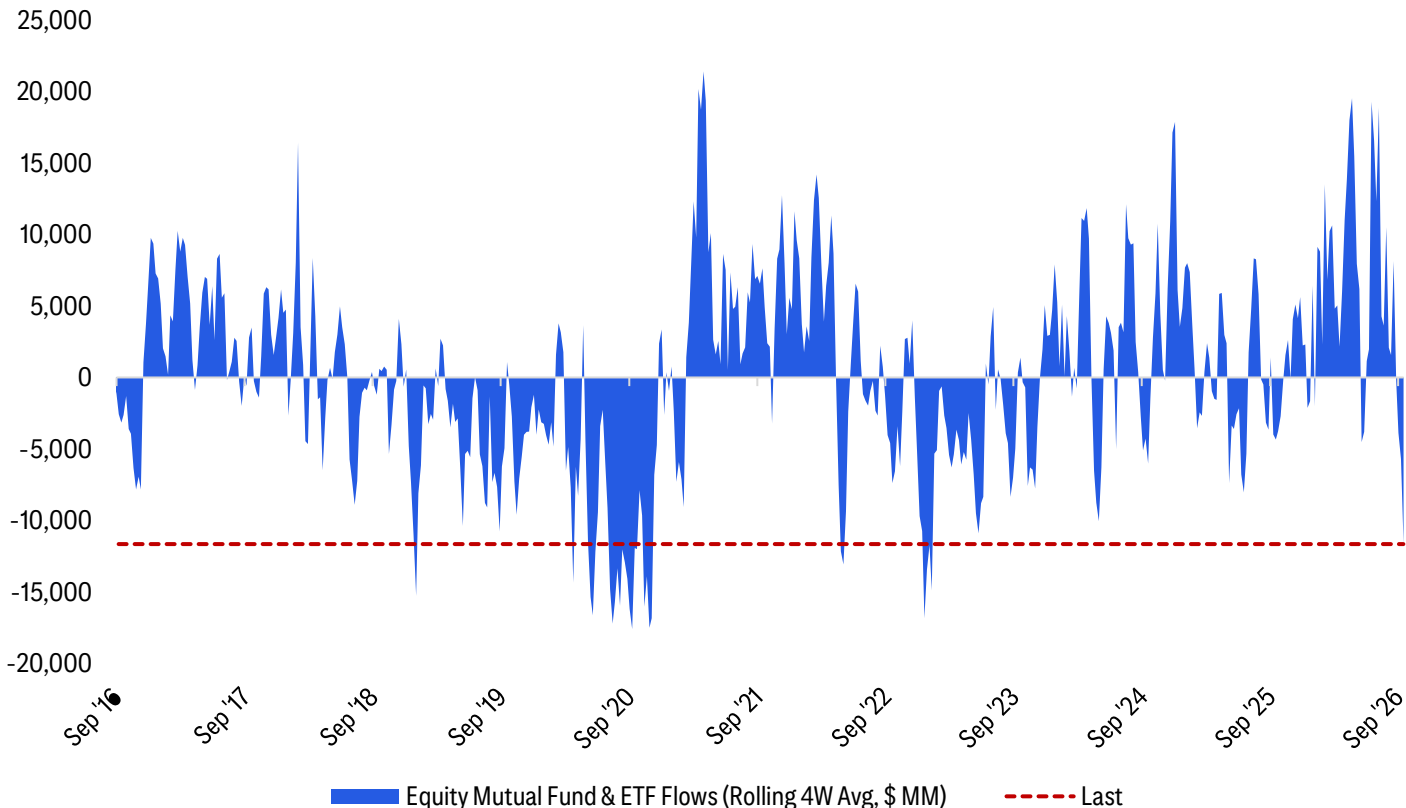
Trailing 12M Foreign Flow to US Equities % of S&P 1500 Mcap



Fund Flows Losing Steam

- Equity Mutual Funds and ETFs experienced back-to-back years of steady outflows from '22-'23
- Steady inflows returned in '24, with more balanced flows throughout '25. Strong flows for the bulk of '26 now losing steam
- Equity fund inflows have pushed to the bottom end of the 10yr range in recent weeks

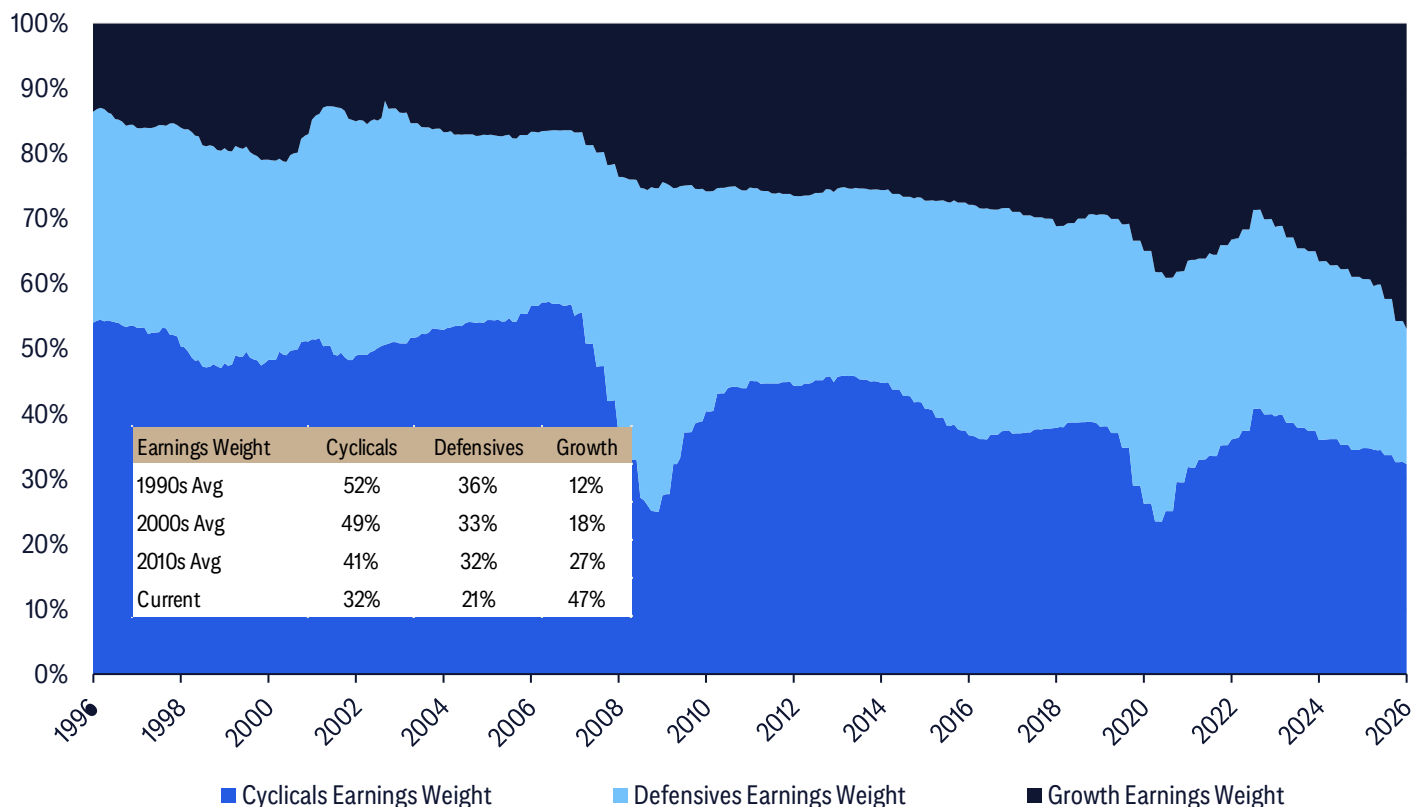
Equity Mutual Fund and ETF Flows (4-Week Average)



Changing Index Composition Favors Growth

- The earnings composition of the S&P 500 index has changed significantly over recent decades
- Earnings weight of Cyclical has shifted to Growth, reducing the cyclical nature of index-level earnings
- This has also increased the valuation floor for the index given the relative earnings growth profiles of each cluster

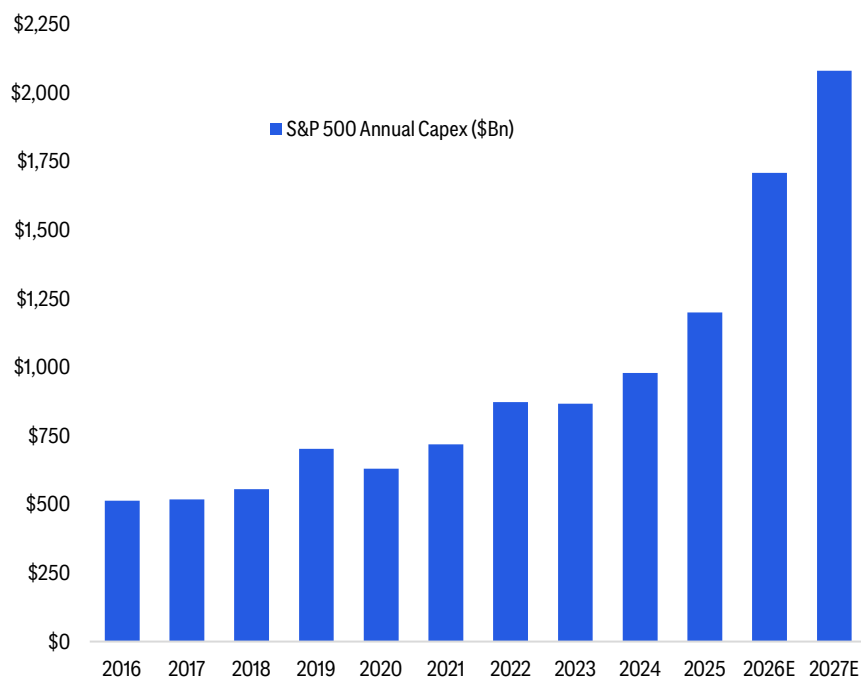
Earnings Weights by Industry Group Cluster



Capex Growth Acceleration

- S&P 500 Capex continues to surge, clearly influenced by the AI infrastructure build out
- Mag 8 capex growth has reached a new tier of growth and continues to accelerate thus far in '26

S&P 500 Annual Capex (\$Bn)



S&P 500 Sector Capex Growth

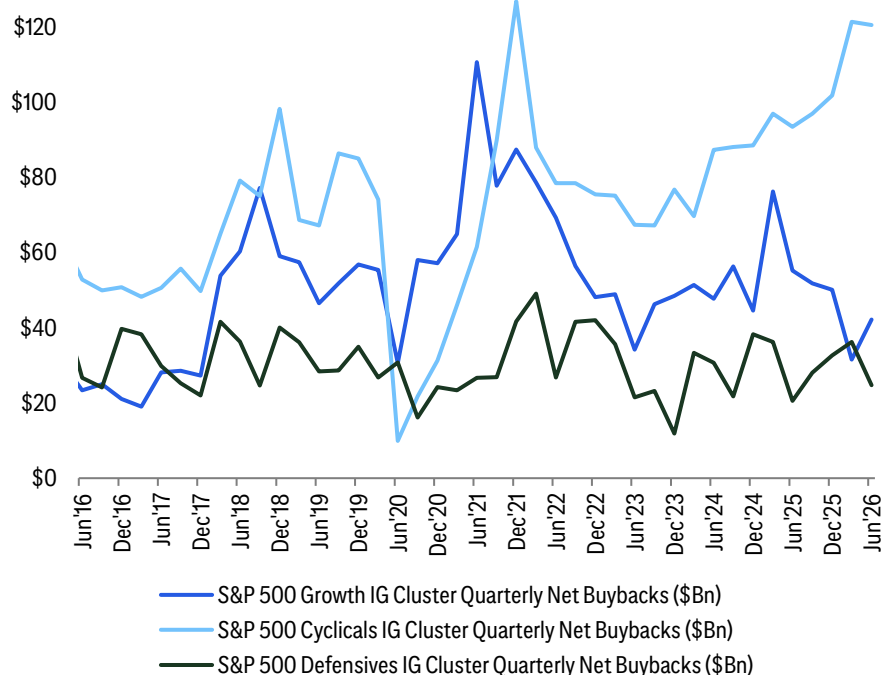
Capex (\$Bn)	2024	2025	2026E	2027E	'25 Y/Y	'26E Y/Y	'27E Y/Y
Communication Services	\$171	\$248	\$428	\$592	45%	73%	38%
Consumer Discretionary	\$144	\$198	\$311	\$370	37%	57%	19%
Consumer Staples	\$66	\$68	\$76	\$74	4%	11%	-2%
Energy	\$101	\$111	\$118	\$119	11%	6%	1%
Health Care	\$56	\$59	\$65	\$67	5%	10%	2%
Industrials	\$75	\$78	\$86	\$89	4%	10%	4%
Information Technology	\$150	\$189	\$346	\$467	26%	83%	35%
Materials	\$42	\$41	\$41	\$42	-2%	0%	1%
Utilities	\$174	\$208	\$237	\$260	19%	14%	10%
S&P 500 (Ex-Financials)	\$979	\$1,199	\$1,709	\$2,081	22%	42%	22%
S&P 400 (Ex-Financials)	\$86	\$92	\$102	\$100	7%	12%	-2%
S&P 600 (Ex-Financials)	\$62	\$64	\$73	\$73	3%	13%	1%

Capex (\$Bn)	2024	2025	2026E	2027E	'25 Y/Y	'26E Y/Y	'27E Y/Y
S&P 500 Growth IG Cluster	\$383	\$546	\$996	\$1,340	42%	83%	35%
S&P 500 Cyclical IG Cluster (Ex-Fin)	\$235	\$251	\$266	\$272	7%	6%	2%
S&P 500 Defensives IG Cluster	\$361	\$403	\$446	\$469	12%	11%	5%
Mag 8	\$246	\$397	\$765	\$1,044	62%	93%	36%
Rest of Index	\$734	\$802	\$943	\$1,036	9%	18%	10%
S&P 500 (Ex-Financials)	\$979	\$1,199	\$1,709	\$2,081	22%	42%	22%

Buyback Activity

- Aggregate buybacks for the S&P 500 total ~\$990bn on a trailing basis, growth rate slowing a bit year on year
- Growth Cluster & Mag 8 buyback growth has stagnated thus far in '26 as more focus shifts to capex
- Overall, we still expect aggregate buyback activity to rise but incrementally more focus on capex

S&P 500 Quarterly Buybacks Net of Stock Comp by IG Cluster



Sector Aggregate Buybacks

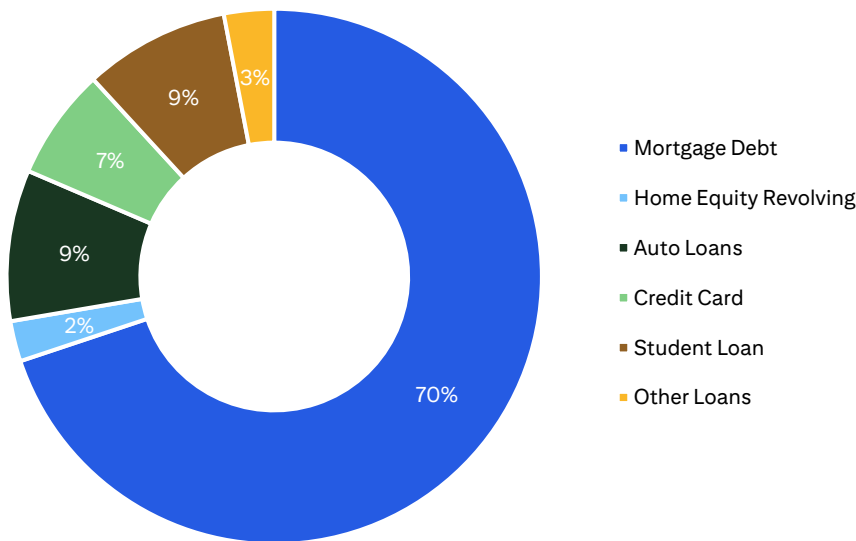
Buybacks (\$Bn)	2023	2024	2025	TTM	'24 Y/Y	'25 Y/Y	TTM Y/Y
Communication Services	\$124	\$129	\$128	\$87	4%	-1%	-34%
Consumer Discretionary	\$81	\$75	\$67	\$75	-7%	-11%	-2%
Consumer Staples	\$36	\$44	\$42	\$33	21%	-4%	-22%
Energy	\$72	\$70	\$61	\$58	-2%	-14%	-17%
Financials	\$139	\$180	\$237	\$285	29%	31%	42%
Health Care	\$68	\$86	\$80	\$87	27%	-7%	5%
Industrials	\$72	\$75	\$83	\$87	4%	12%	2%
Information Technology	\$180	\$214	\$281	\$284	19%	31%	13%
Materials	\$15	\$22	\$20	\$22	43%	-8%	11%
Utilities	\$1	\$3	\$3	\$3	186%	-11%	29%
S&P 500	\$789	\$898	\$1,002	\$1,021	14%	12%	6%
Buybacks (\$Bn)	2023	2024	2025	TTM	'24 Y/Y	'25 Y/Y	TTM Y/Y
S&P 500 Growth IG Cluster	\$315	\$354	\$403	\$363	13%	14%	-8%
S&P 500 Cyclical IG Cluster	\$333	\$384	\$442	\$495	15%	15%	19%
S&P 500 Defensive IG Cluster	\$142	\$160	\$158	\$164	13%	-2%	7%
Mag 8	\$145	\$169	\$159	\$183	17%	-6%	-26%
Rest of Index	\$645	\$729	\$844	\$838	13%	16%	17%
S&P 500	\$789	\$898	\$1,002	\$1,021	14%	12%	6%

Eye on Fed and the Consumer

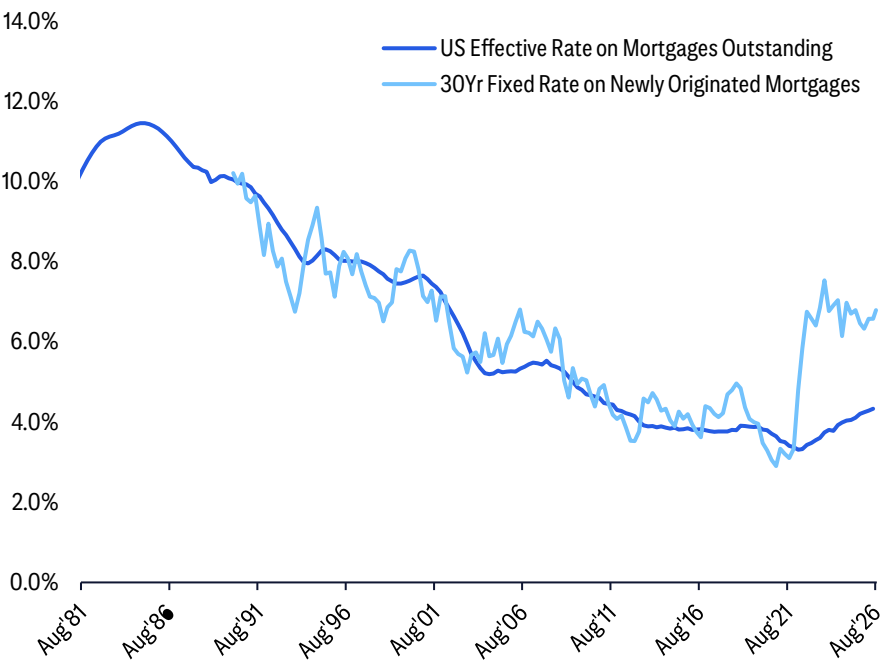
Fed, Rates, and Consumer Resilience

- The consumer has been resilient through the Fed tightening cycle and now out the other side.
- Fiscal stimulus helped de-lever household balance sheets, while a large portion of debt was termed at low fixed rates
- 70% of household debt is via mortgages, where the rate lock dynamic has weakened Fed policy transmission

Household Debt Composition



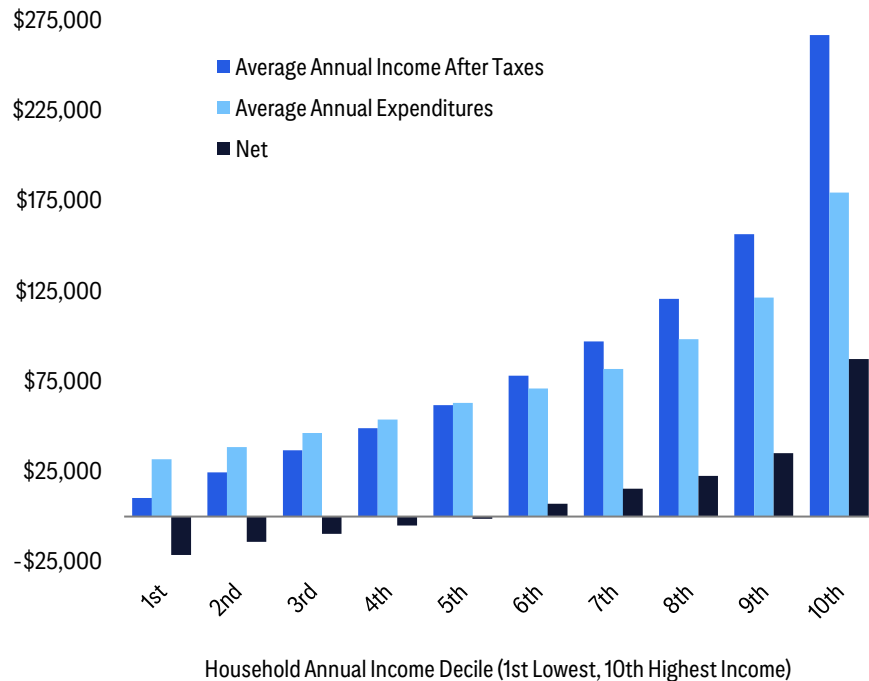
Effective & Contract Mortgage Rates



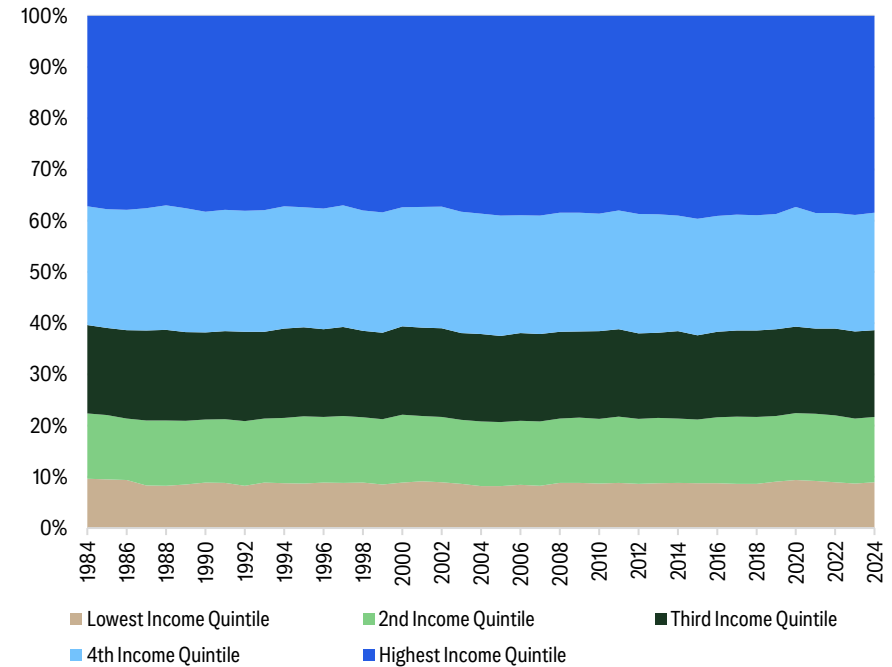
Consumer Dispersion

- Distribution of income and debt has perpetuated a tale of two consumers: net savers vs net spenders
- Higher income worker displacement is an area of risk as companies pursue AI efficiency gains
- This cohort has an outsized impact on aggregate consumption

Household Income & Consumption by Income Decile



Share of Consumption by Income Quintile



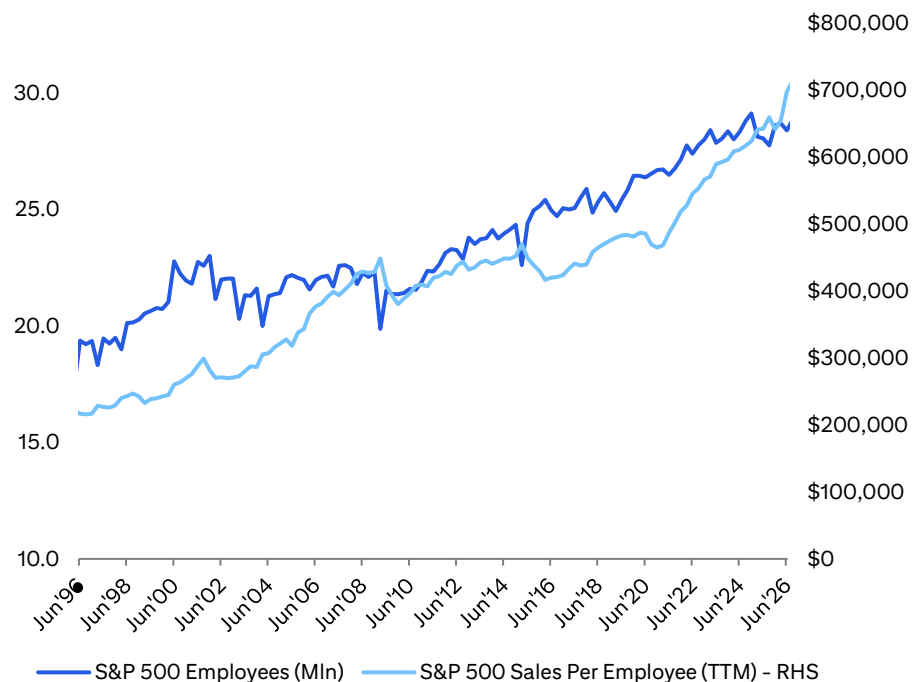
Consumer Dispersion by Household Income

Household Characteristics by Income Quintile					
Share by Household Income Quintile	1st Income Quintile	2nd Income Quintile	3rd Income Quintile	4th Income Quintile	5th Income Quintile
Share of Pretax Income	3%	8%	14%	23%	51%
Share of After Tax Income	4%	10%	15%	24%	47%
Share of Consumption	9%	13%	17%	23%	38%
Share of Money Market Assets	1%	3%	6%	10%	80%
Share of Equity & Mutual Fund Assets	2%	1%	4%	7%	87%
Share of Mortgage Debt	3%	6%	14%	24%	53%
Share of Consumer Credit Liabilities	7%	13%	19%	26%	35%
Household Average by Income Quintile	1st Income Quintile	2nd Income Quintile	3rd Income Quintile	4th Income Quintile	5th Income Quintile
Pretax Income	\$16,658	\$42,925	\$74,474	\$121,548	\$264,510
After Tax Income	\$17,272	\$42,788	\$69,809	\$108,887	\$211,036
Consumption	\$35,046	\$50,054	\$66,900	\$89,972	\$150,342
Money Market Assets	\$2,080	\$5,513	\$9,882	\$17,600	\$137,189
Equity & Mutual Fund Assets	\$30,933	\$19,743	\$67,998	\$129,697	\$1,646,338
Mortgage Debt	\$16,033	\$29,390	\$69,202	\$119,187	\$267,102
Consumer Credit Liabilities	\$13,189	\$24,026	\$34,792	\$47,982	\$65,005
Consumer Credit % of Disposable Income	76%	56%	50%	44%	31%

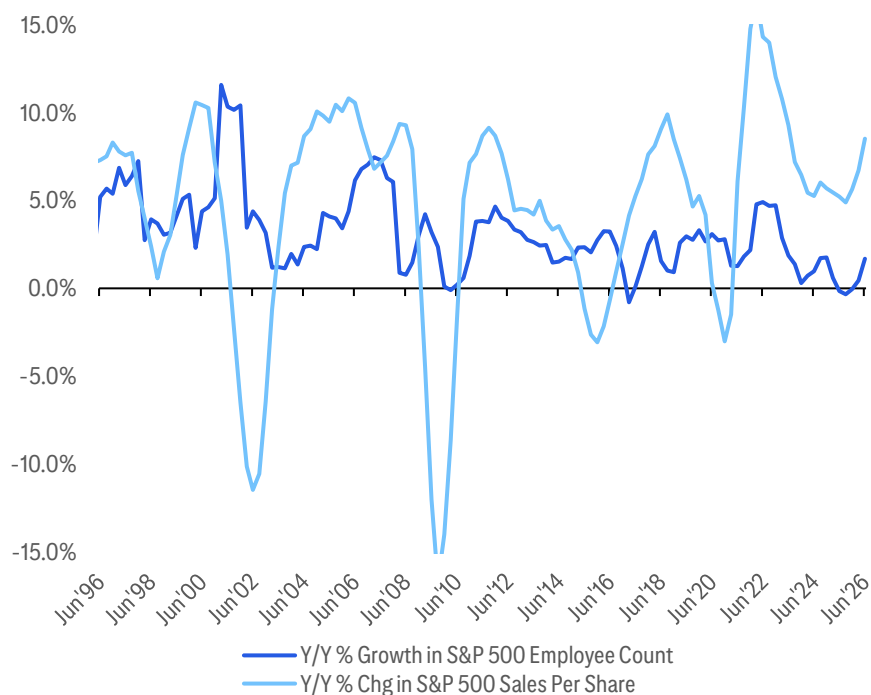
Operational Efficiencies (and Leverage) Are Key

- Ongoing productivity gains are crucial to our constructive equity market view
- S&P 500 companies have managed costs by holding headcount steady alongside top line growth
- Yet, there is a point at which stagnant labor market conditions feed back negatively to index fundamentals
- Range of outcomes ahead is wide between AI adoption improving index margins and displaced worker demand destruction

S&P 500 Employee Count & Sales Per Employee



Year-on-Year % Change in Employee Count and Sales



Mega Cap Tech Influence on Productivity

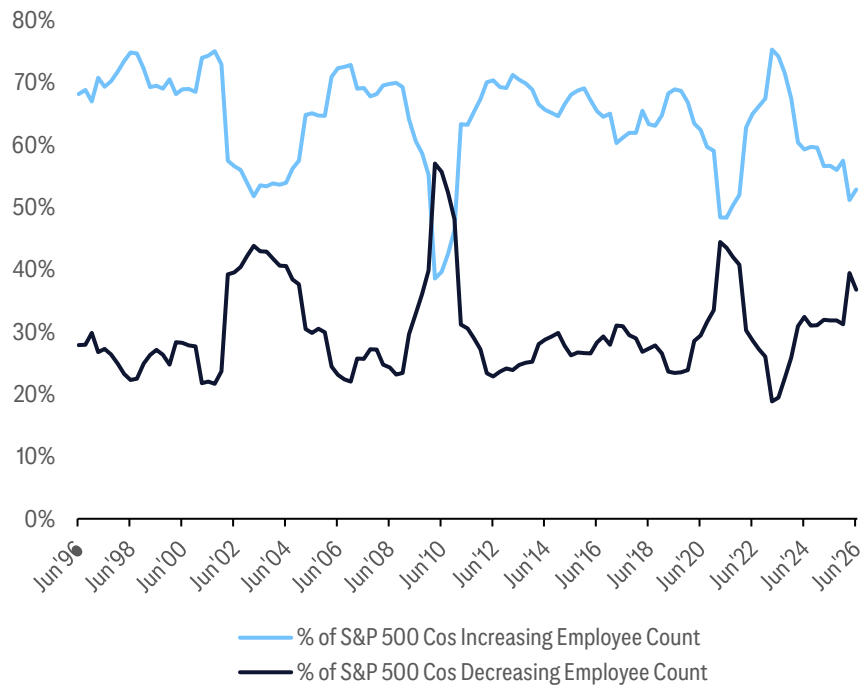
- Index level headcount growing LSD% year on year alongside HSD % growth in sales per employee
- Sector level variation is significant, mega cap operating leverage shows through in Comm Services and Tech

Sector Level YoY Change in Employee Count & Sales Per Employee						
S&P 500 Sector	Employee Count 2Q '25	Employee Count 2Q '26	Y/Y % Chg	TTM Sales Per Employee 2Q '25	TTM Sales Per Employee 2Q '26	Y/Y % Chg
Communication Services	1,470,597	1,586,561	7.9%	\$1,205,918	\$1,267,050	5.1%
Consumer Discretionary	4,994,642	5,118,065	2.5%	\$421,050	\$443,420	5.3%
Consumer Staples	4,689,837	4,613,863	-1.6%	\$447,013	\$484,738	8.4%
Energy	423,571	407,963	-3.7%	\$2,865,743	\$3,316,361	15.7%
Financials	3,216,634	3,260,301	1.4%	\$878,521	\$932,909	6.2%
Health Care	3,048,774	3,049,141	0.0%	\$1,130,701	\$1,231,205	8.9%
Industrials	3,839,389	3,970,503	3.4%	\$418,173	\$435,234	4.1%
Information Technology	3,907,685	4,004,017	2.5%	\$515,153	\$651,690	26.5%
Materials	848,880	862,551	1.6%	\$554,785	\$586,372	5.7%
Real Estate	249,021	267,916	7.6%	\$656,289	\$671,777	2.4%
Utilities	353,554	355,185	0.5%	\$1,202,636	\$1,309,793	8.9%
S&P 500	27,042,584	27,496,066	1.7%	\$670,719	\$732,952	9.3%

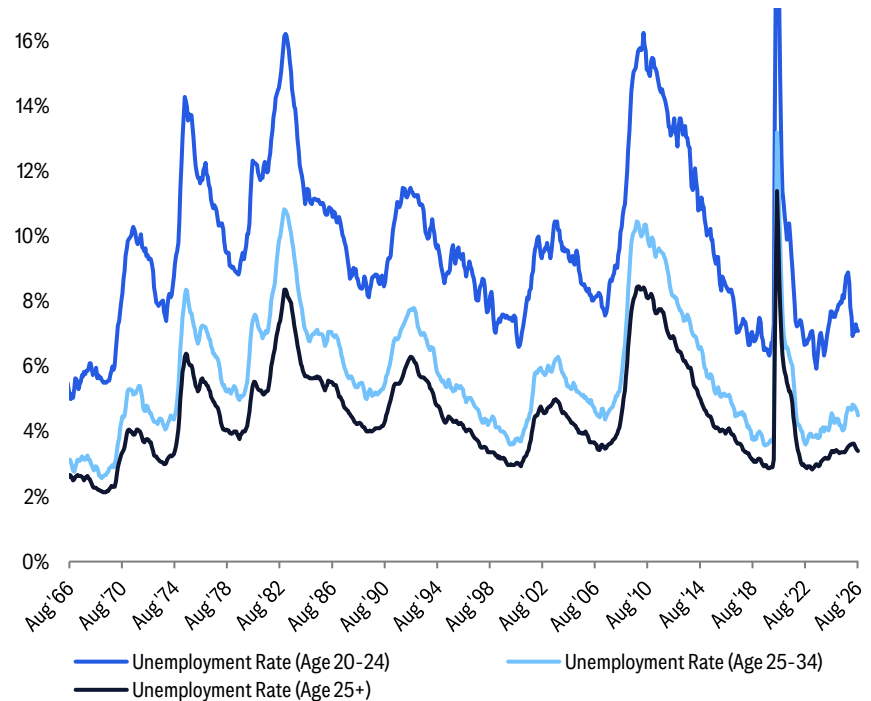
Productivity Gains Without Demand Destruction

- From our perch, index data aligns with broader macro signals that we are in a low hiring and job separation environment
- The percentage of S&P 500 companies increasing employee count is near 30yr lows outside of recession periods
- Yet the percentage of index names cutting headcount is largely in line with longer-term averages
- Slower pace of entry level hiring may be driving up youth unemployment, yet this may be stabilizing

Pct of Index Names Increasing/Decreasing Employee Count



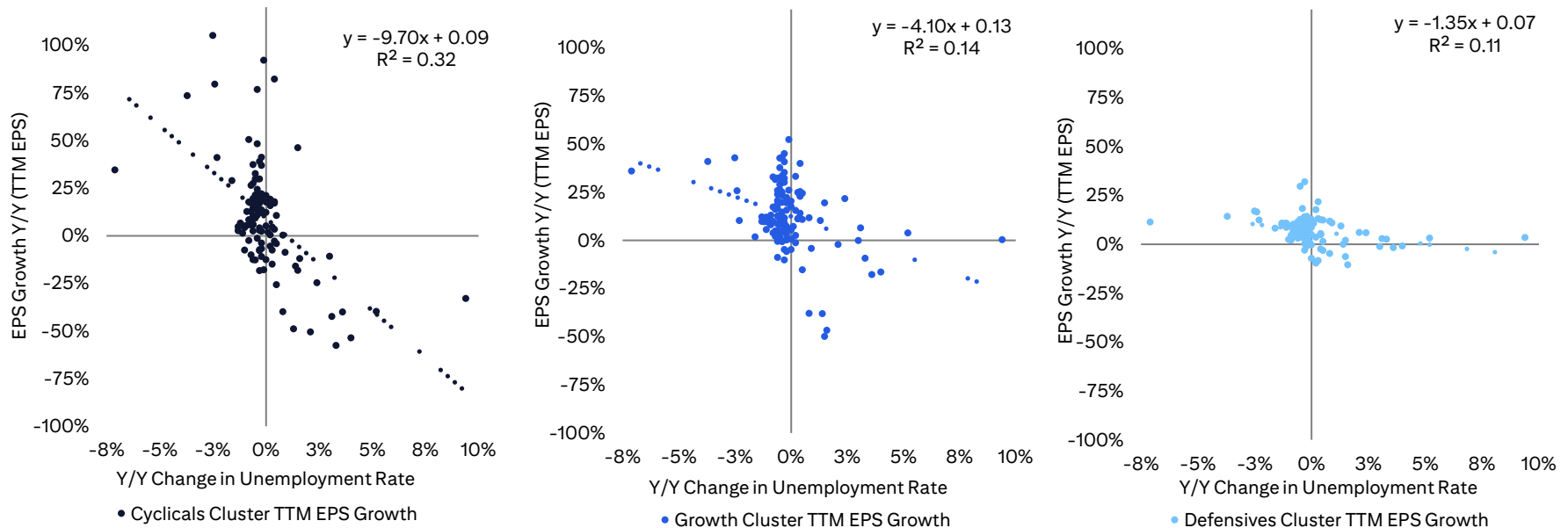
Unemployment Rate by Age



Cluster Lens – Labor Market Connections

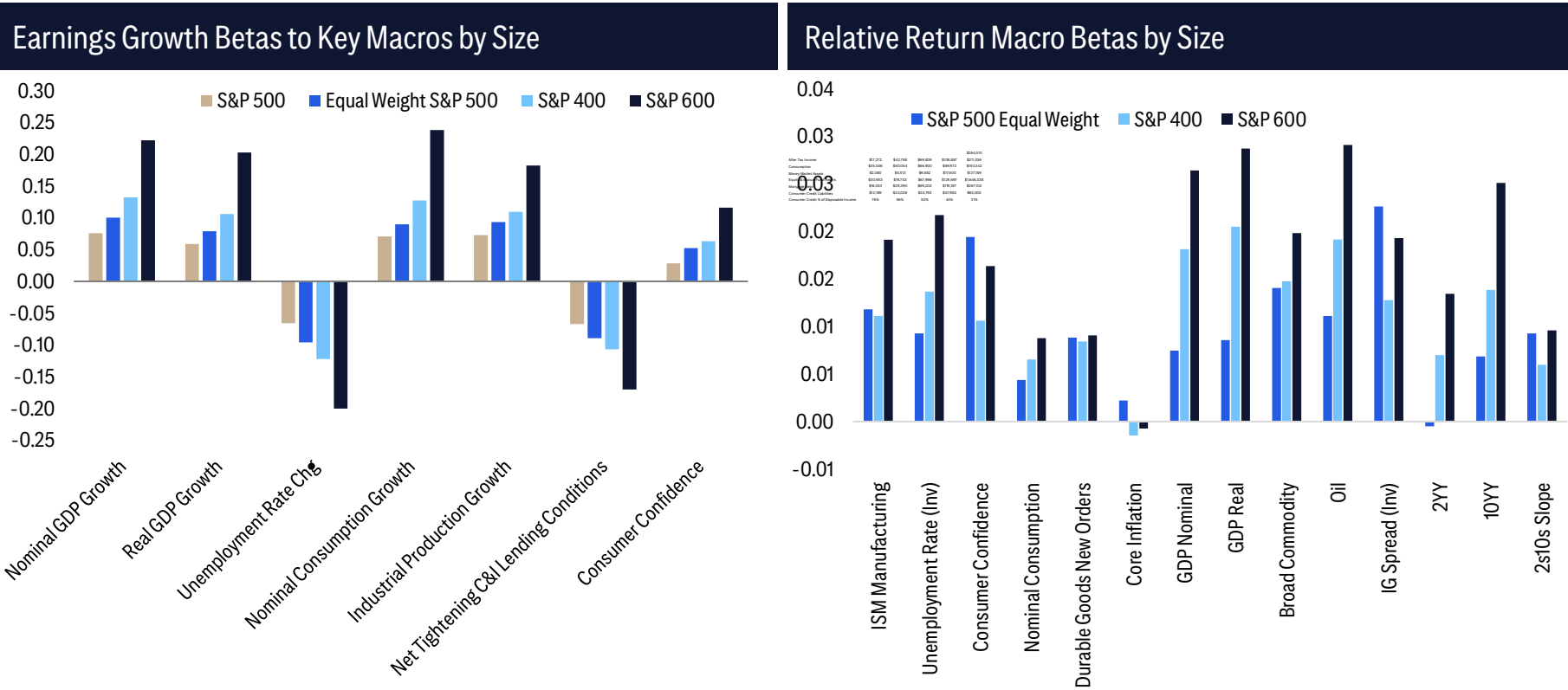
- The correlation between earnings growth and the unemployment rate is highest for the Cyclical cluster
- The connection weakens in the Growth cluster, and more so with Defensives
- Importantly, the earnings weight of the Cyclical cluster within the S&P 500 has diminished through time

S&P 500 Industry Group Cluster EPS Growth vs. 1Y Change in the Unemployment Rate



Relative Macro Sensitivity Down Cap

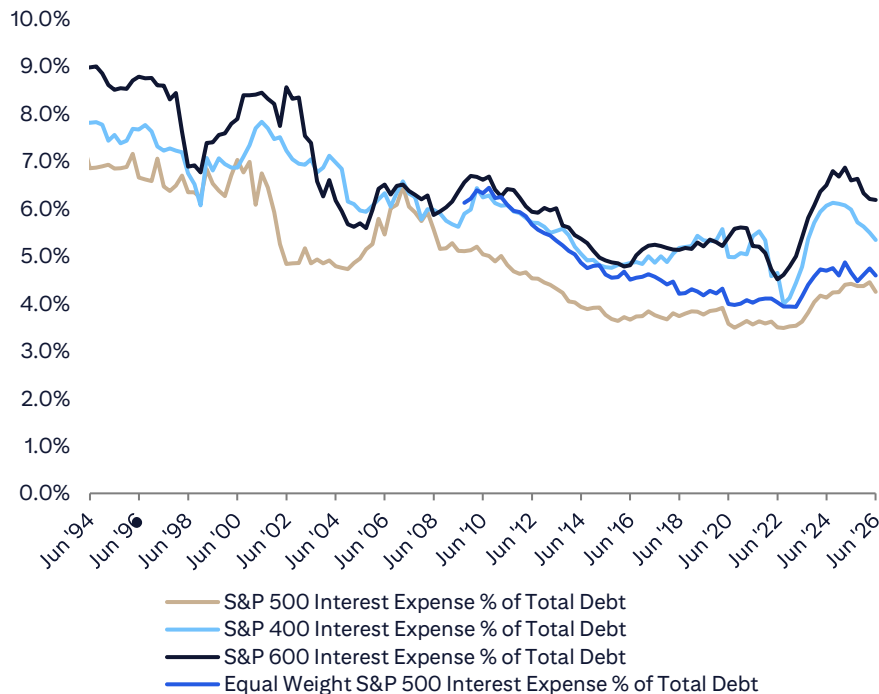
- Small cap stands out for its earnings growth leverage to key macro inputs
- Interestingly, Equal Weight S&P 500 has a larger weight Defensives, muting the macro sensitivity relative to SMID
- Looking at relative return betas, Small cap is well positioned should the Fed pivot down a “run it hot” policy path



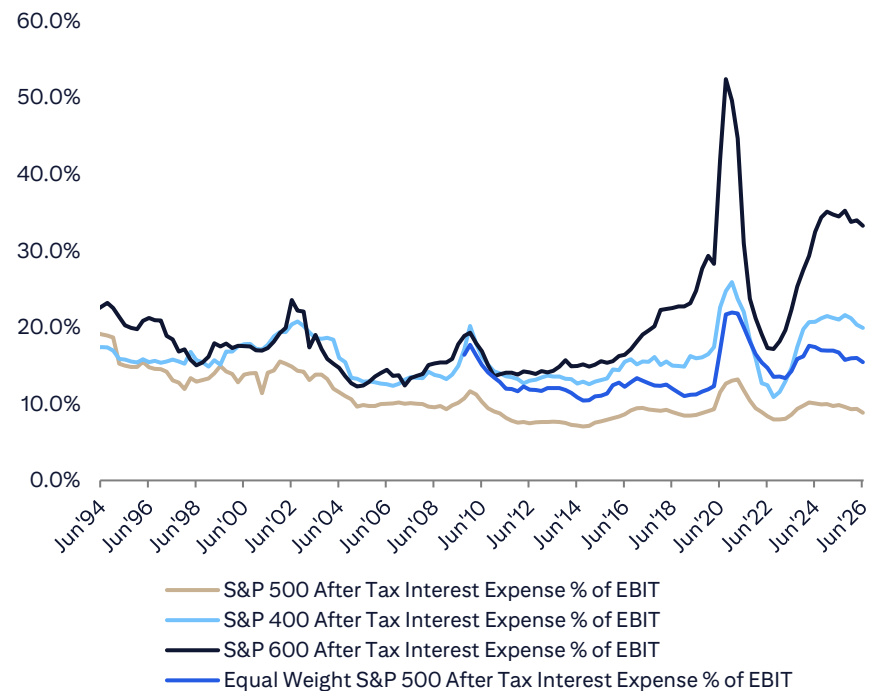
Fundamental Connection to Rates

- SMID debt profile is inherently shorter maturity with more reliance on floating rate loan debt
- This led to a swift pass-through of higher rates to interest expense from '22-'24, a significant headwind for SMID earnings
- Leverage to the front end of the curve has flipped to a relative tailwind for SMID vs LC as the Fed began cutting in late '24

Interest Expense as a % of Total Debt by Size



After-Tax Interest Expense as a % of EBIT by Size



Macro Matters

Citi House View: Economic Forecasts

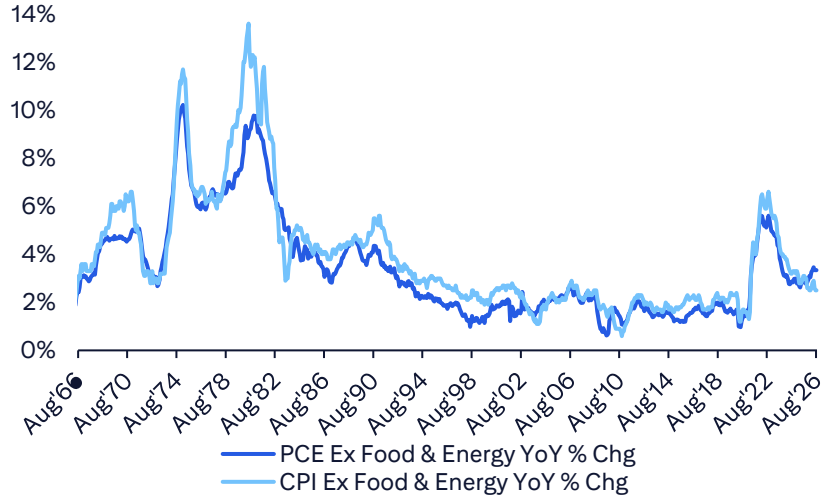
- Citi economists expect the Fed to be on pause until Jun '27, followed by easing with three 25bps cuts in Jun, Sep, & Dec '27
- Expectation is for core inflation to decelerate late '26 through early '27 taking pressure off the Fed
- GDP growth holds steady in the back half of '26 and into '27

Citi US Economics Key Macro Forecasts

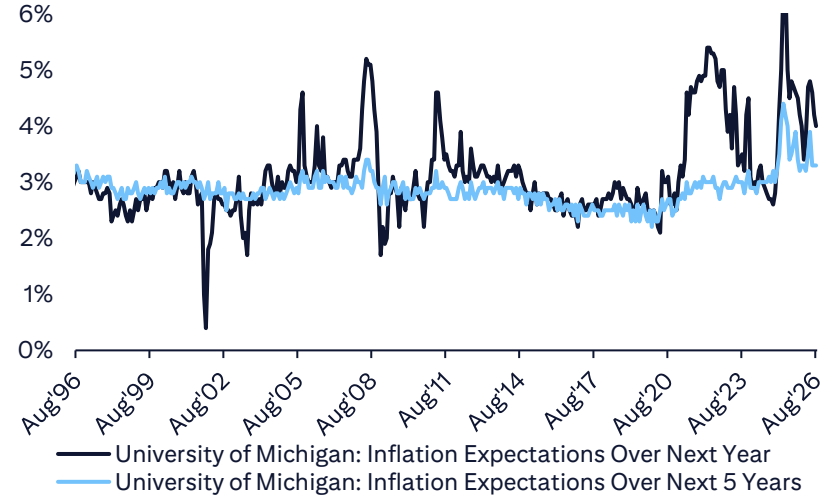
		2026F	2027F		2026				2027			
					Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP	%Avg YoY	2.0	1.8	%QoQ Ann	2.1	1.5	1.8	1.8	1.8	1.8	1.8	1.8
Consumption	%Avg YoY	2.1	2.1	%QoQ Ann	0.5	3.4	1.7	1.9	2.1	2.1	2.1	2.1
Business Equip. Investment	%Avg YoY	9.3	4.2	%QoQ Ann	15.8	13.6	5.0	5.0	3.0	3.0	3.0	3.0
Business IPP	%Avg YoY	8.0	1.3	%QoQ Ann	13.8	8.8	3.0	0.5	0.5	0.5	0.5	0.5
Business Structures	%Avg YoY	-3.3	2.7	%QoQ Ann	-4.7	-1.8	3.0	3.0	3.0	3.0	3.0	3.0
Residential Investment	%Avg YoY	-2.9	2.7	%QoQ Ann	-7.8	1.2	2.0	3.0	3.0	3.0	3.0	3.0
Final Private Domestic Demand	%Avg YoY	2.5	2.2	%QoQ Ann	1.7	4.2	2.1	2.1	2.1	2.1	2.1	2.1
Government	%Avg YoY	0.2	0.6	%QoQ Ann	4.4	-1.0	0.7	0.7	0.7	0.7	0.7	0.7
Exports	%Avg YoY	4.5	3.1	%QoQ Ann	10.9	4.5	3.0	3.0	3.0	3.0	3.0	3.0
Imports	%Avg YoY	2.6	3.6	%QoQ Ann	11.8	12.5	3.0	3.0	3.0	3.0	3.0	3.0
Inventories	pp cont.	-0.3	0.0	pp cont.	0.2	-0.7	0.0	0.0	0.0	0.0	0.0	0.0
Headline PCE Deflator	%Avg YoY	3.7	2.5	%Avg YoY	3.1	3.9	3.8	4.0	3.4	2.5	2.3	2.0
Core PCE Deflator	%Avg YoY	3.3	2.6	%Avg YoY	3.1	3.4	3.4	3.4	3.0	2.6	2.4	2.3
Core CPI	%Avg YoY	2.5	2.2	%Avg YoY	2.5	2.7	2.4	2.4	2.3	2.1	2.1	2.2
Headline CPI	%Avg YoY	3.4	2.1	%Avg YoY	2.7	3.8	3.4	3.8	3.2	1.9	2.0	1.5
Average Hourly Earnings	%Avg YoY	3.3	3.0	%Avg YoY	3.6	3.4	3.2	2.9	3.0	3.0	3.0	2.9
Unemployment Rate	Avg %	4.5	4.3	Avg %	4.3	4.3	4.7	4.6	4.5	4.3	4.2	4.2
Monthly payroll growth	(1,000s) avg.	67.8	50.0	(1,000s) avg.	72.7	80.7	67.7	50.0	50.0	50.0	50.0	50.0
ISM Manf	Avg	52.9	52.0	Avg	52.6	53.3	53.7	52.0	52.0	52.0	52.0	52.0
Policy Range	% EOP	3.75-4.0	3.0-3.25	% EOP	3.5-3.75	3.5-3.75	3.75-4.0	3.75-4.0	3.75-4.0	3.5-3.75	3.25-3.5	3.0-3.25

Inflation Cooperating Near Term

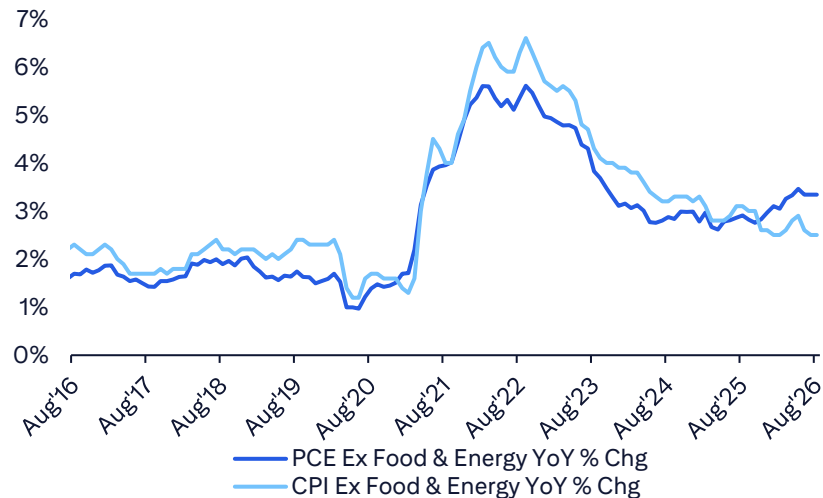
Core PCE & CPI



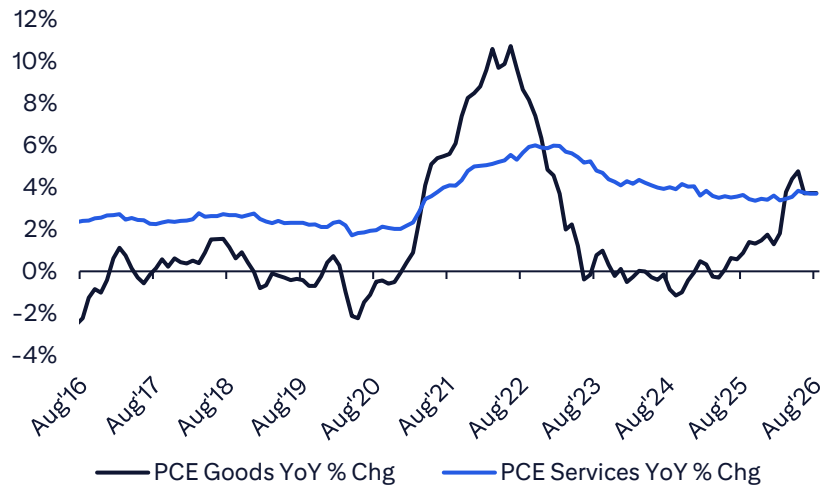
Inflation Expectations



Core PCE & CPI (Last 10Yr)

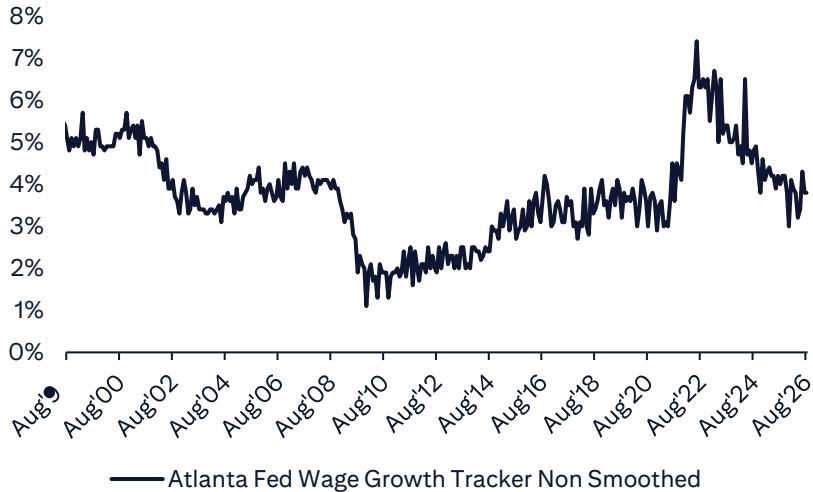


Goods vs. Services Inflation (Last 10Yr)

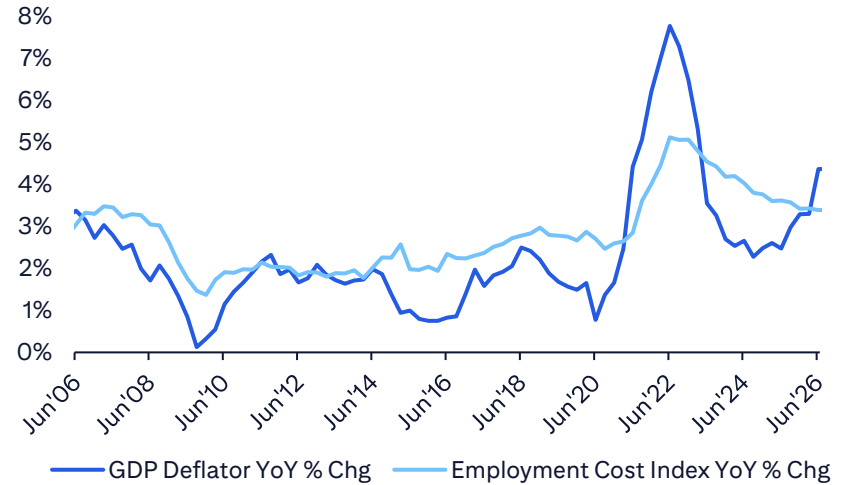


Wages & Productivity

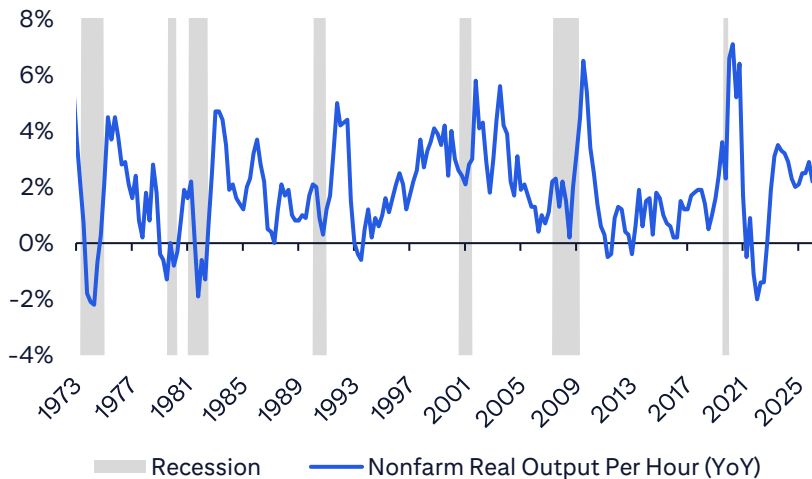
Wage Growth Softening but Remains Elevated



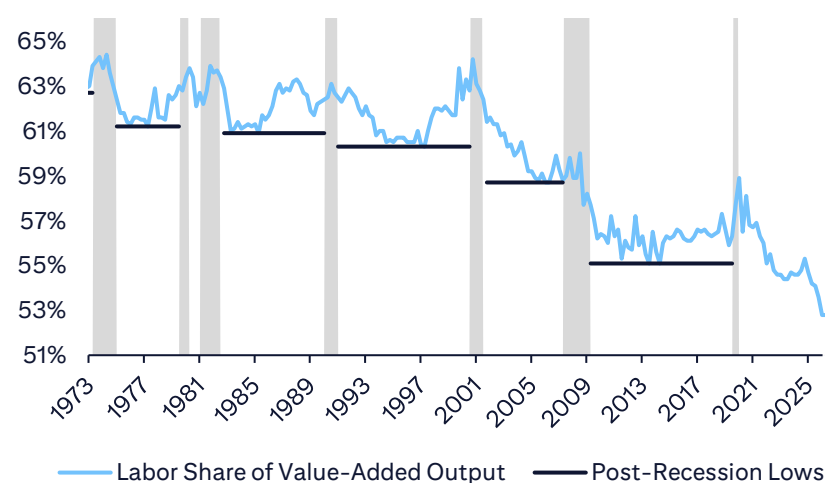
Employment Cost Index vs. GDP Deflator



Nonfarm Real Output Per Hour (YoY)



Labor Share of Value-Added Output

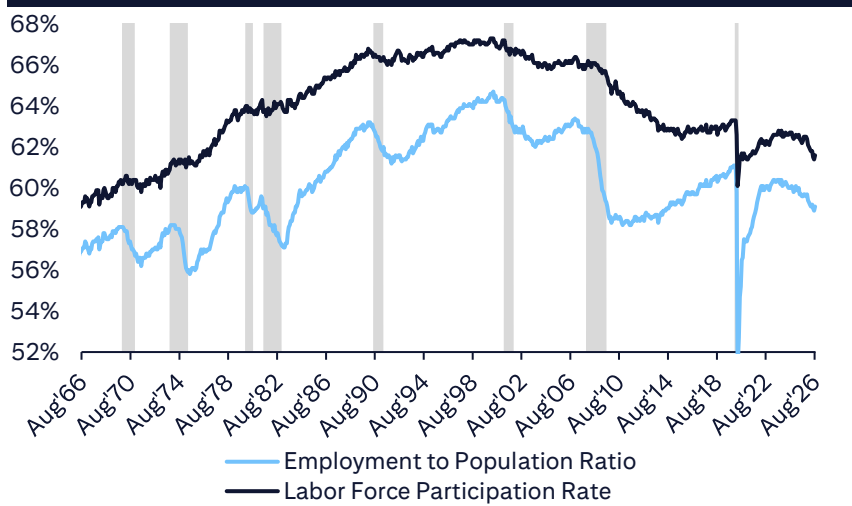


Labor Market

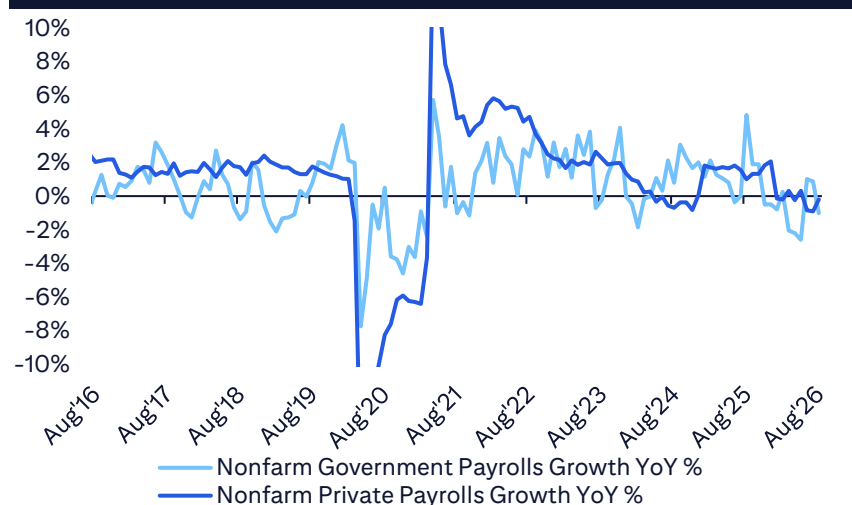
Employment Overall Robust Yet Signs of Fraying



Employment to Population Ratio & Participation Rate



Private vs Government Payroll Growth

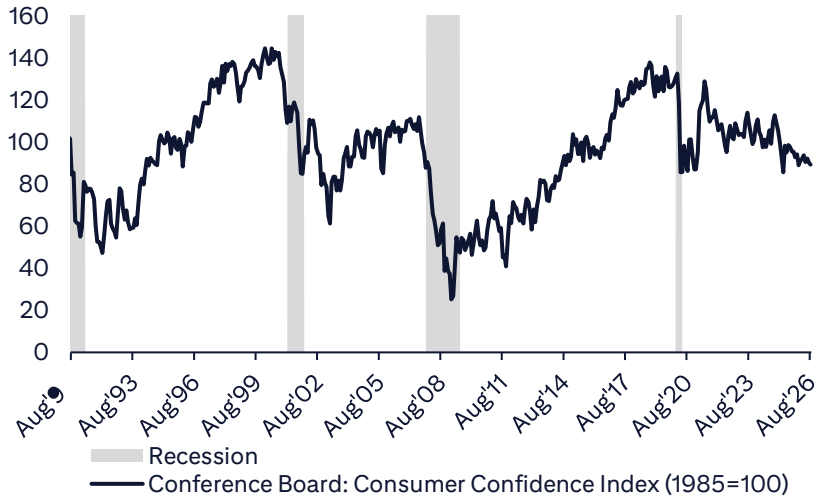


Full-Time vs. Part-Time Payroll Growth

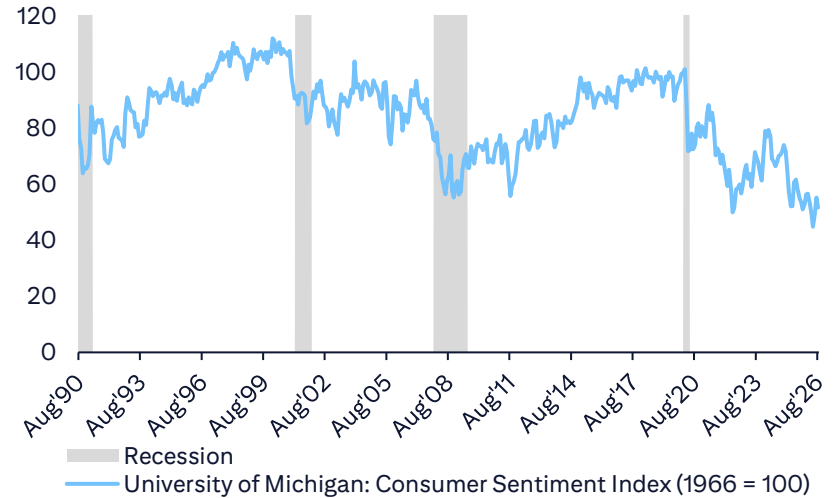


Health of the Consumer

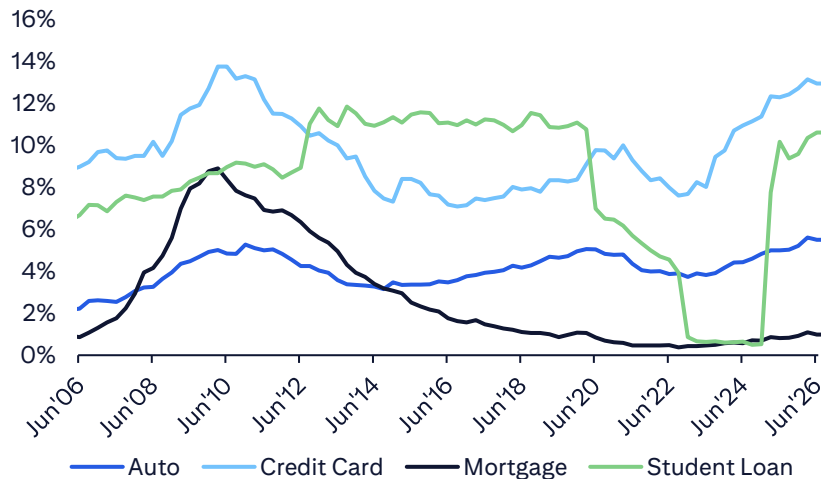
Consumer Confidence – Conference Board



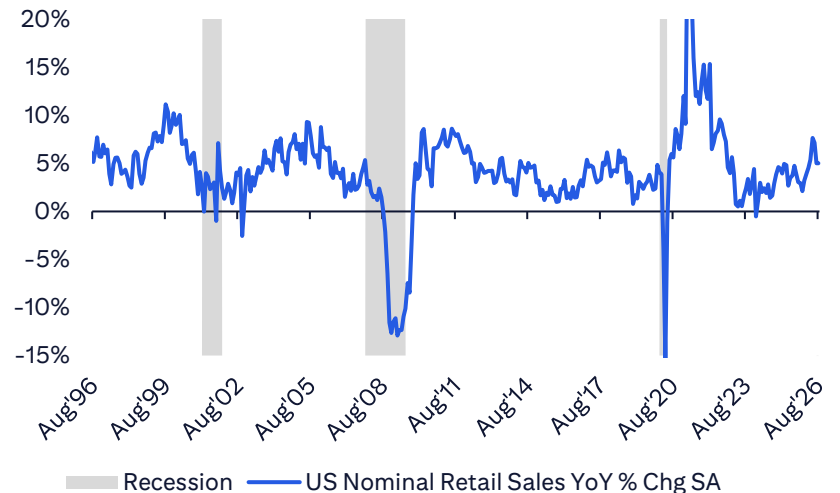
Consumer Confidence – University of Michigan



Delinquency Rates – Percent of Balance 90+ Days Delinquent

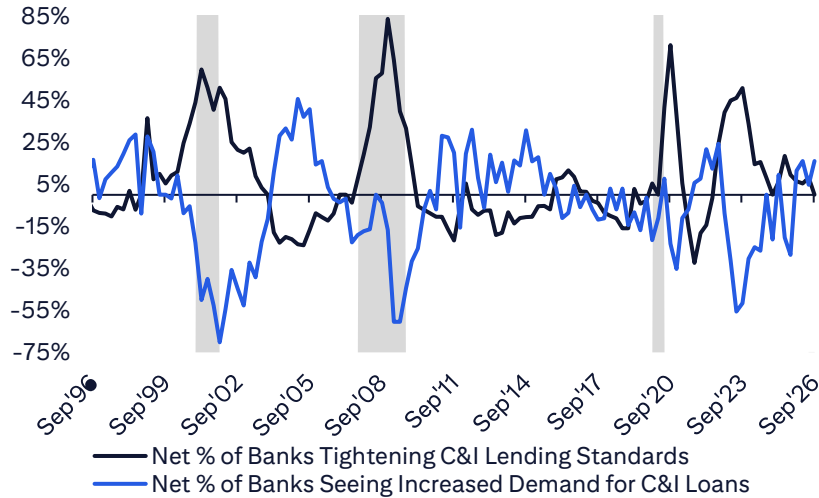


Retail Sales Growth

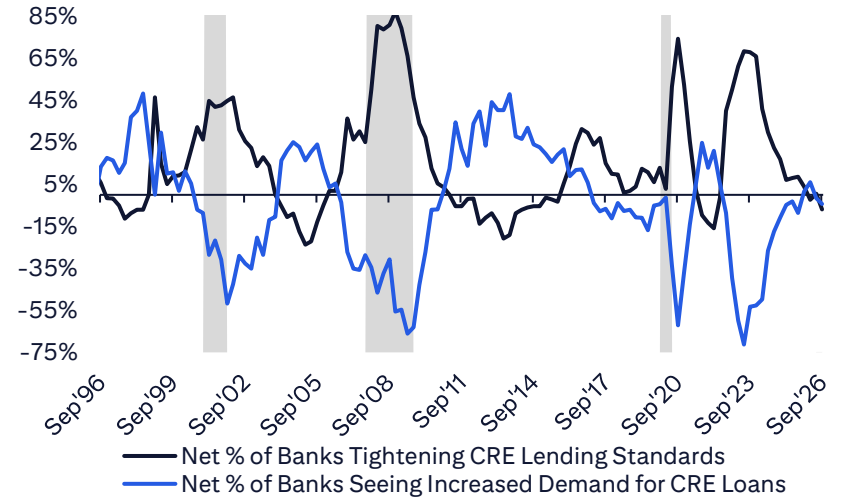


Credit Conditions

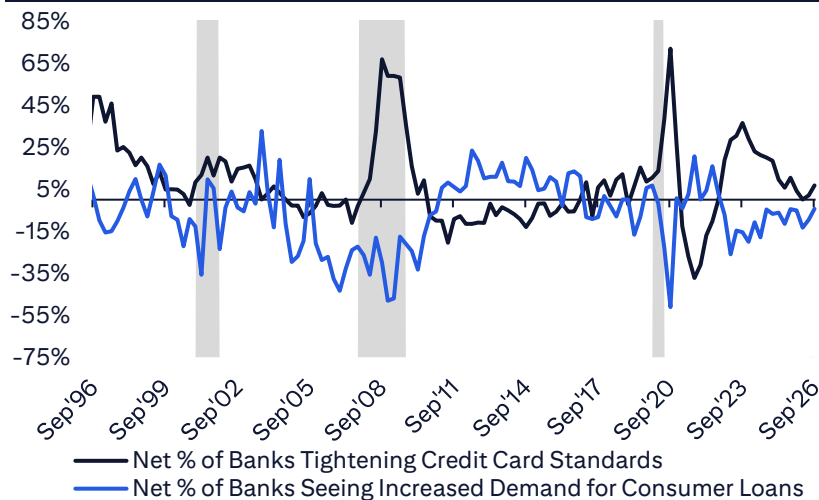
Neutral Tightening of C&I Lending Standards



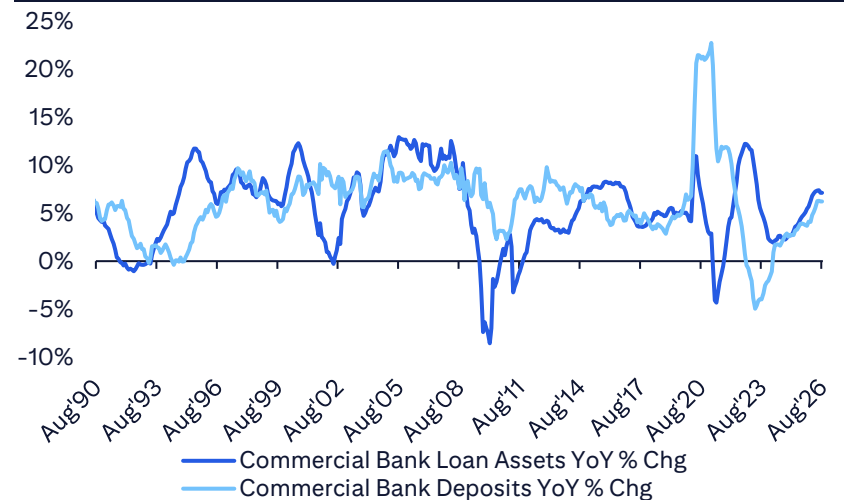
CRE Lending Standards



Credit Card Lending Standards Neutral

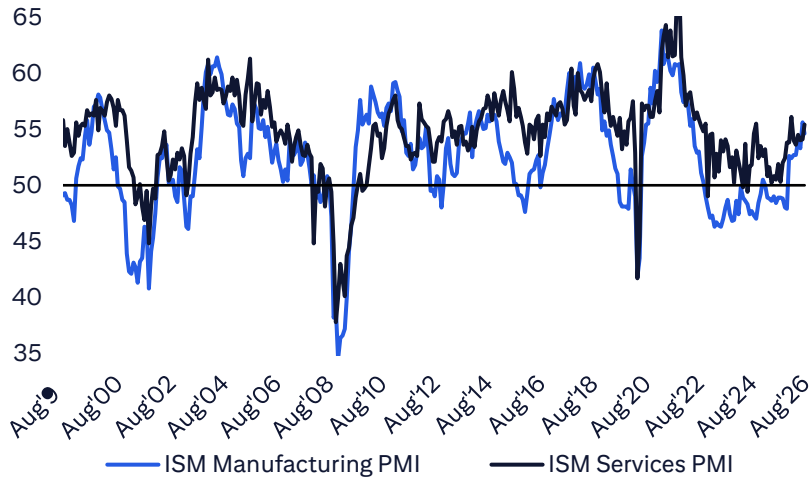


Bank Deposit and Loan Growth

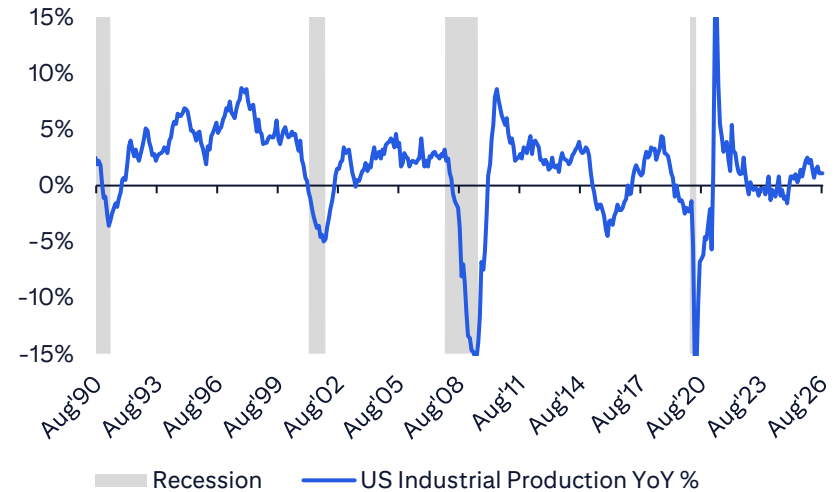


Production & Housing

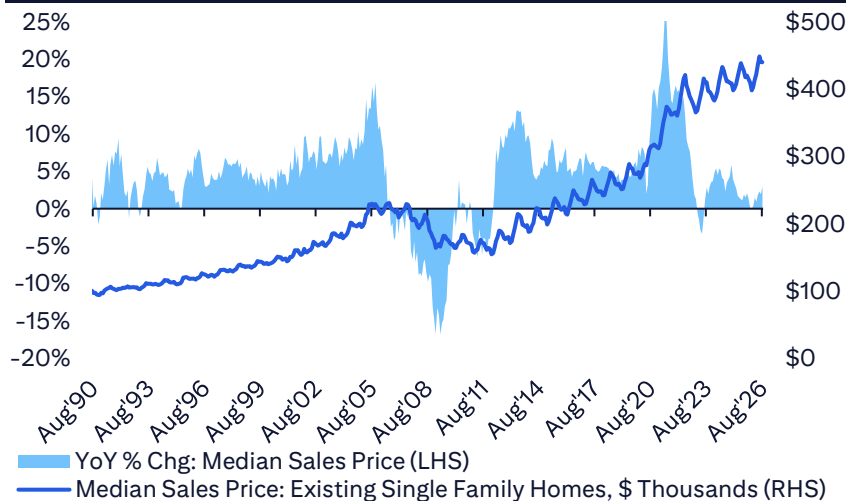
ISM Manufacturing and Services PMI



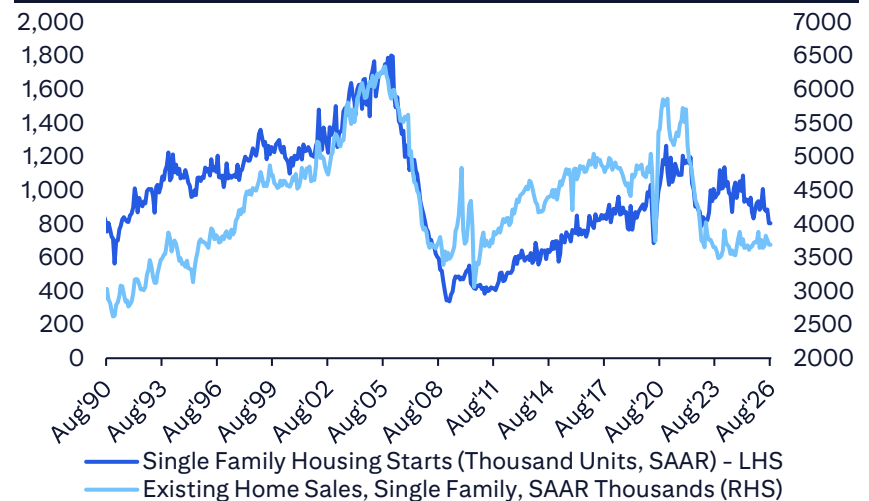
Industrial Production Growth YoY



Median Single-Family Home Sales Price (\$ Thousands & YoY % Chg)

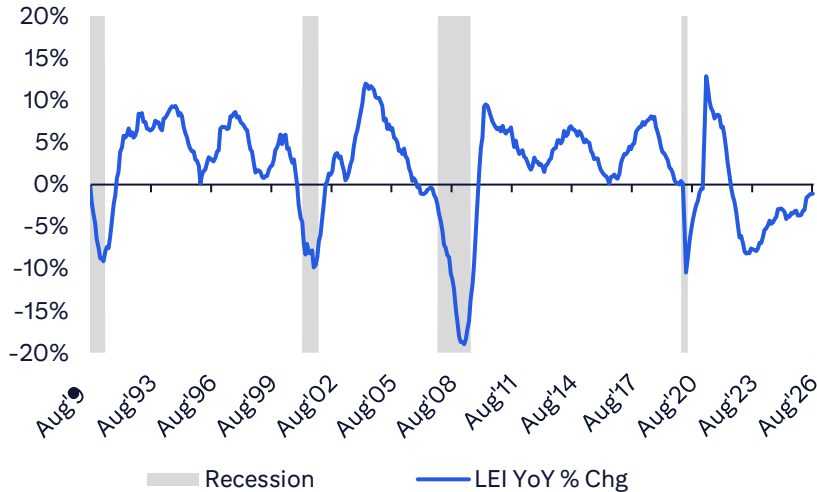


Existing Single-Family Home Sales and Housing Starts

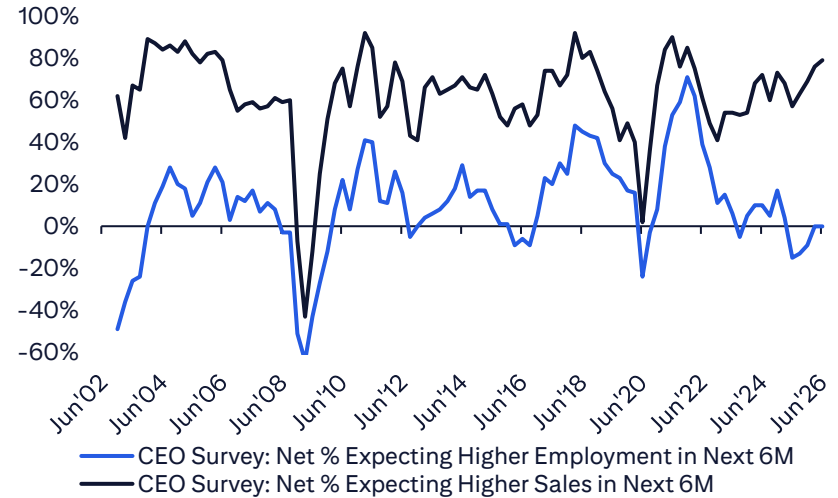


Other Surveys & Key Indicators

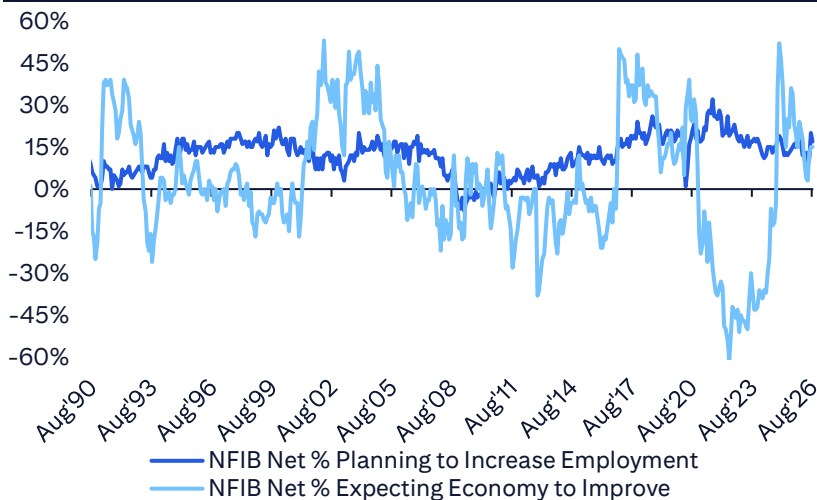
Conference Board Leading Economic Indicators Index



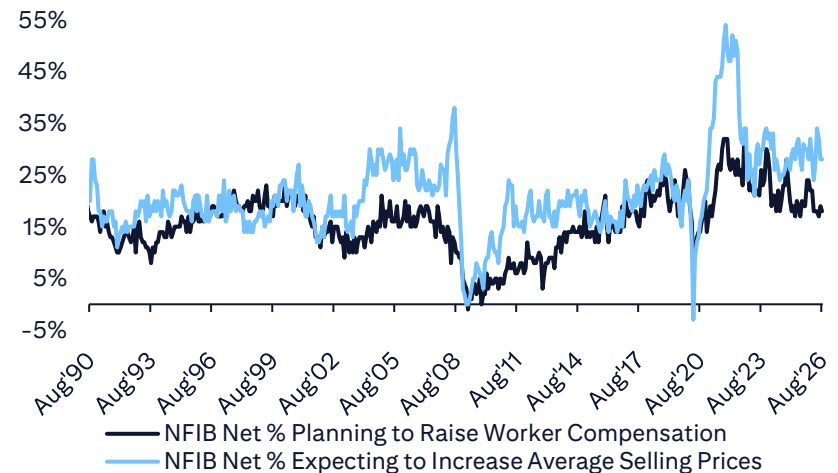
Business Roundtable CEO Survey: Sales & Employment Outlook



NFIB Small Business Survey: Hiring & Economic Outlook



NFIB Small Business Survey: Prices & Wages Outlook





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Appendix A-1

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